

CITY OF GALLATIN, TENNESSEE
COMPREHENSIVE ANNUAL FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED JUNE 30, 2019

Prepared by the City of Gallatin Finance Director

CITY OF GALLATIN, TENNESSEE

COMPREHENSIVE ANNUAL FINANCIAL REPORT

TABLE OF CONTENTS

Introductory Section

Directory.....	i
----------------	---

Financial Section

Independent Auditor's Report	1
Management's Discussion and Analysis.....	4

Basic Financial Statements:

Government-wide Financial Statements:

Statement of Net Position	11
Statement of Activities.....	13

Fund Financial Statements

Balance Sheet - Governmental Funds	14
Reconciliation of the Balance Sheet of Governmental Funds to the Statement of Net Position	15
Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds	16
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities	17
Statement of Net Position - Proprietary Funds.....	18
Statement of Revenues, Expenses, and Changes in Fund Net Position - Proprietary Funds	20
Statement of Cash Flows - Proprietary Funds	21
Statement of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual - General Fund	23
Statement of Fiduciary Net Position – Pension Trust Fund – Electric Department.....	37
Statement of Changes in Fiduciary Net Position – Pension Trust Fund - Electric Department.....	38
Notes to the Financial Statements	39

Required Supplementary Information

Schedule of Changes in the Plan's Net Pension Liability and Related Ratios - Electric	64
Schedule of Contributions – Last Ten Fiscal Years - Electric	65
Schedule of Changes in the Total OPEB Liability and Related Ratios - Electric	66
TCRS Hybrid Employees' Pension Plan Schedule of Contributions Last Ten Fiscal Years	67

Supplementary and Other Information Section

Combining and Individual Fund Statements and Schedules:

Combining Balance Sheet - Other Governmental Funds	68
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances - Other Governmental Funds.....	69
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual - Special Services Fund	70
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual - Drug Fund	71
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual - Environmental Services Fund	72

Supplementary Schedules

Schedule of Changes in Property Taxes Receivable	73
Schedule of Electric Rates in Force	74
Schedule of Water and Sewer Rates in Force	76
Schedule of Gas Rates in Force	77

CITY OF GALLATIN, TENNESSEE
COMPREHENSIVE ANNUAL FINANCIAL REPORT
TABLE OF CONTENTS

Schedule of Unaccounted for Water - Unaudited	78
Schedule of Principal and Interest Requirements - General Obligation Debt - City	80
Schedule of Long-term Debt - Proprietary Funds	81
Schedule of Changes in Long-term Debt By Individual Issue	82
Schedule of Expenditures of Federal Awards	83
Schedule of State Financial Assistance	84

Statistical Section

Statistical Section Divider Page	85
Financial Trends Information - Net Position by Component - Last Ten Fiscal Years.....	86
Financial Trends Information - Change in Net Position - Last Ten Fiscal Years	87
Financial Trends Information - Fund Balances, Governmental Funds - Last Ten Fiscal Years	89
Financial Trends Information - Changes in Fund Balances for Total Governmental Funds - Last Ten Fiscal Years	90
Revenue Capacity Information - Assessed Value and Estimated Actual Value of Taxable Property - Last Ten Tax Years	91
Revenue Capacity Information - Principal Property Tax Payers - Current Year and Nine Years Ago	92
Revenue Capacity Information - Property Tax Levies and Collections - Last Ten Fiscal Years	93
Debt Capacity Information - Ratios of Outstanding Debt by Type - Last Ten Fiscal Years	94
Debt Capacity Information - Ratios of General Bonded Debt Outstanding - Last Ten Fiscal Years	95
Debt Capacity Information – Pledged Revenue Coverage - Last Ten Fiscal Years	96
Demographic and Economic Information - Demographic and Economic Statistics - Last Ten Fiscal Years	97
Demographic and Economic Information - Principal Employers - Current Year and Nine Years Ago	98
Operating Information - Full-time Equivalent City Government Employees by Function/Program - Last Ten Fiscal Years.....	99
Operating Information - Operating Indicators by Function/Program - Last Ten Fiscal Years ...	100
Operating Information - Capital Asset Statistics by Function/Program - Last Ten Fiscal Years.....	101

Internal Control and Compliance Section

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With <i>Government Auditing Standards</i>	102
Independent Auditor's Report on Compliance for Each Major Federal Program and Report On Internal Control Over Compliance Required by the Uniform Guidance.....	104
Schedule of Findings and Questioned Costs	106
Schedule of Prior Year Findings and Responses	108

INTRODUCTORY SECTION

CITY OF GALLATIN, TENNESSEE

DIRECTORY

June 30, 2019

ELECTED OFFICIALS

Paige Brown, Mayor
Linda Love, Council Member
William C. Hayes, Council Member
Steve Fann, Council Member
John D. Alexander, Council Member
James W. Overton, Council Member, Vice Mayor
Steve C. Camp, Council Member
Shawn Fennell, Council Member
Connie Kittrell, Recorder

MANAGEMENT TEAM

Rachel Nichols, Director of Finance, CMFO
Zach Wilkinson, Director of Public Works
David A. Gregory, Superintendent of Public Utilities
Donald Bandy, Chief of Police
Victor Williams, Fire Chief
Charles Stuart, Director of Codes
William McCord, Director of Planning
David Brown, Director of Leisure Services
Debbie Johnson, Director of Human Resources
James Fenton, Director of Economic Development
Nick Tuttle, City Engineer
Mark Kimbell, Electric Department Manager
Lori Smiley, Director of Information Technology

COUNSEL

Susan High-McAuley
City Attorney
Gallatin, Tennessee

INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS

Alexander Thompson Arnold PLLC
Jackson, Tennessee

FINANCIAL SECTION



Independent Auditor's Report

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2019, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the Table of Contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Electric Department which is both a major fund and represents 23 percent, 22 percent, and 70 percent, respectively, of the assets, net position, and revenues of the business-type activities. Those statements were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for the Electric Department, is based solely on the report of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the City's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of other auditors, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee, as of June 30, 2019, and respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 4 through 10 and the required supplementary information as listed in the table of contents on pages 64 through 67 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The introductory section, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), the supplementary schedules as noted in the supplementary and other information section in the Table of Contents including the schedule of expenditures of federal awards as required by *Title 2 U.S. Code of Federal Regulations Part 200*, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards,, and the statistical section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), and the supplementary schedules including the schedule of expenditures of federal awards, except that which is marked "unaudited," are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and other auditors. In our opinion based on our audit, the procedures performed as described above, and the report of other auditors, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), and the supplementary schedules including the schedule of federal awards, except that which have been marked "unaudited" are fairly stated in all material respects in relation to the basic financial statements as a whole.

The introductory section, the supplementary schedule, which has been marked “unaudited”, and the statistical section have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 28, 2019 on our consideration of the City of Gallatin’s internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City of Gallatin’s internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Alexander Thompson Arnold, PLLC". The signature is written in a cursive, flowing style.

Jackson, Tennessee
December 28, 2019

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2019. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources at the close of the fiscal year by \$282.47 million as compared to \$257.41 million in the prior year. Of these amounts, \$54.66 million (unrestricted net position) as compared to \$52.99 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by \$25.06 million in 2019, including (\$712) thousand of prior period adjustments/restatements, compared to an increase of \$12.87 million in 2018.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of \$25.81 million, a decrease of \$6.03 million from the prior year. Approximately \$16.29 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was \$16.29 million, or 42.29% of the total general fund expenditures as compared to \$17.25 million the prior year.
- The City's total debt obligations increased by \$2.10 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

Government-Wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

MANAGEMENT'S DISCUSSION AND ANALYSIS

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 11 to 13 of this report.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental funds - Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 14 to 17 of this report.

The City maintains nine governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other seven governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 68.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 23 to 36 and pages 70 to 72 of this report.

Proprietary funds - There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer, Natural Gas, and Electric Power operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 18 to 22 of this report.

Fiduciary funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary fund reported is for the Electric Department Pension Trust Fund. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combining statements which can be found on pages 37 to 38 of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 39 to 63 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utility's schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position - As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by \$282.47 million at the close of the most recent fiscal year, as compared to \$257.41 million at the close of the previous year.

By far the largest portion of the City's net position (80.18%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position \$1.33 million (0.47%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position \$54.66 million (19.35%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

MANAGEMENT'S DISCUSSION AND ANALYSIS

	Governmental Activities		Business-type Activities		Total	
	2019	2018	2019	2018	2019	2018
Current and other assets	\$ 44,063,413	\$ 47,363,190	\$ 54,771,202	\$ 54,414,819	\$ 98,834,615	\$ 101,778,009
Capital assets	106,465,962	87,907,950	177,692,387	164,591,513	284,158,349	252,499,463
Total assets	150,529,375	135,271,140	232,463,589	219,006,332	382,992,964	354,277,472
Deferred outflows of resources	531,850	356,642	3,826,811	3,509,443	4,358,661	3,866,085
Long-term liabilities	24,097,597	26,047,003	43,672,529	40,056,404	67,770,126	66,103,407
Other liabilities	5,984,292	4,314,236	18,433,047	18,561,198	24,417,339	22,875,434
Total liabilities	30,081,889	30,361,239	62,105,576	58,617,602	92,187,465	88,978,841
Deferred inflows of resources	12,158,928	11,123,823	533,179	632,098	12,692,107	11,755,921
Net position:						
Net investment in capital assets	89,932,089	75,402,931	136,551,453	127,605,680	226,483,542	203,008,611
Restricted	1,325,054	1,403,017	7,702	7,675	1,332,756	1,410,692
Unrestricted	17,563,265	17,336,772	37,092,490	35,652,720	54,655,755	52,989,492
Total net position	\$ 108,820,408	\$ 94,142,720	\$ 173,651,645	\$ 163,266,075	\$ 282,472,053	\$ 257,408,795

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Long-term liabilities decreased due to payments being made on these projects during the current fiscal year.

Statement of Activities - Expenses in the governmental activities exceeded program revenues by \$15.47 million. In the business-type activities program revenues exceeded expenses by \$11.68 million. General government revenues and transfers of \$30.95 million offset the governmental activities deficit resulting in a positive change of net position of \$15.47 million and a prior period adjustment in governmental activities of (\$796) thousand. Other business-type revenues of \$229 thousand and transfers of (\$1.61) million reduced income in the business type activities leaving a positive change in net position of \$10.30 million before a prior period adjustment and a restatement of beginning net position totaling \$84 thousand.

	Governmental Activities		Business-type Activities		Total	
	2019	2018	2019	2018	2019	2018
Revenues:						
Program revenues:						
Charges for services	\$ 8,356,873	\$ 7,863,631	\$ 104,274,429	\$ 102,309,298	\$ 112,631,302	\$ 110,172,929
Operating grants and contributions	2,616,883	1,865,673	-	-	2,616,883	1,865,673
Capital grants and contributions	12,308,868	6,010,371	4,907,752	5,623,904	17,216,620	11,634,275
General revenues:						
Property taxes	11,906,890	11,235,726	-	-	11,906,890	11,235,726
Other taxes	15,775,114	14,896,995	-	-	15,775,114	14,896,995
Other sources	1,653,185	844,078	229,021	197,243	1,882,206	1,041,321
Total revenues	52,617,813	42,716,474	109,411,202	108,130,445	162,029,015	150,846,919

MANAGEMENT'S DISCUSSION AND ANALYSIS

	Governmental Activities		Business-type Activities		Total	
	2019	2018	2019	2018	2019	2018
Expenses:						
General government	\$ 10,194,485	\$ 8,545,515	\$ -	\$ -	\$ 10,194,485	\$ 8,545,515
Public safety	15,685,627	14,939,109	-	-	15,685,627	14,939,109
Engineering	2,300,750	1,907,119	-	-	2,300,750	1,907,119
Environmental services	2,194,040	2,109,615	-	-	2,194,040	2,109,615
Public works	585,600	705,505	-	-	585,600	705,505
Highway and streets	1,252,628	1,556,403	-	-	1,252,628	1,556,403
Vehicle maintenance	612,519	562,563	-	-	612,519	562,563
Parks and recreation	4,286,418	4,302,313	-	-	4,286,418	4,302,313
Economic development	816,593	615,343	-	-	816,593	615,343
Tourism	123,052	-	-	-	123,052	-
Interest on debt	702,384	765,919	-	-	702,384	765,919
Electric	-	-	70,565,030	68,464,520	70,565,030	68,464,520
Water and Sewer	-	-	13,321,850	13,115,652	13,321,850	13,115,652
Gas	-	-	13,612,534	13,482,880	13,612,534	13,482,880
Total expenses	<u>38,754,096</u>	<u>36,009,404</u>	<u>97,499,414</u>	<u>95,063,052</u>	<u>136,253,510</u>	<u>131,072,456</u>
Revenues over/under						
expenses	13,863,717	6,707,070	11,911,788	13,067,393	25,775,505	19,774,463
In lieu of taxes in (out)	<u>1,610,234</u>	<u>1,635,255</u>	<u>(1,610,234)</u>	<u>(1,635,255)</u>	<u>-</u>	<u>-</u>
Increase in net position	15,473,951	8,342,325	10,301,554	11,432,138	25,775,505	19,774,463
Net position - beginning	94,142,720	85,800,395	163,266,075	158,742,204	257,408,795	244,542,599
Prior period adjustment/restatement	(796,263)	-	84,016	(6,908,267)	(712,247)	(6,908,267)
Net position - beginning - restated	<u>93,346,457</u>	<u>85,800,395</u>	<u>163,350,091</u>	<u>151,833,937</u>	<u>256,696,548</u>	<u>237,634,332</u>
Net position - ending	<u>\$ 108,820,408</u>	<u>\$ 94,142,720</u>	<u>\$ 173,651,645</u>	<u>\$ 163,266,075</u>	<u>\$ 282,472,053</u>	<u>\$ 257,408,795</u>

In governmental activities, charges for services increased \$493 thousand in 2019. Operating grants and contributions increased by \$751 thousand. Capital grants and contributions increased \$6.29 million. In the business type activities charges for services increased by \$1.97 million and costs of sales and service increased by \$2.44 million due to increased sales during the year.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Overall expenses for 2019 were greater than expenses in 2018 in the governmental activities by \$2.74 million. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational spending to a minimum in continued tight economic times.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental funds - The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was \$16.29 million while total fund balance was \$16.85 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund

MANAGEMENT'S DISCUSSION AND ANALYSIS

balance and total fund balance to total fund expenditures. Unassigned fund balance represents 42.29% of total general fund expenditures in 2019 as compared to 46.58% in 2018.

The fund balance of the City's general fund decreased by \$1.08 million during the current fiscal year. A key factor in this decrease was the significant amount of capital purchases made during the current fiscal year and the prior period adjustment of (\$433) thousand.

Proprietary funds - The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by \$10.30 million in 2019 as compared to \$11.43 million in 2018, before considering the prior period adjustment and restatement totaling \$84 thousand.

Unrestricted net position of the proprietary funds amounted to \$37.09 million as compared to \$35.65 million in the prior year. The change in net position (excluding prior period restatement/adjustments) of the individual proprietary funds were as follows:

- Water and Sewer Fund - \$5.68 million in 2019 compared to \$5.99 million in 2018.
- Natural Gas Fund – \$2.33 million in 2019 compared to \$3.31 million in 2018.
- Electric Fund - \$2.29 million in 2019 compared to \$2.14 million in 2018.

General Fund budgetary highlights - The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in a \$9.42 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 24.26% was mainly for capital expenditures.

Actual revenues and other financing sources were exceeded by budgeted amounts by \$3.76 million. The largest variances were related to other federal grants.

Actual expenditures and transfers out were under budget by \$9.66 million, which was partially due to department heads holding spending but mostly was due to large projects that were budgeted for this year that will continue into next year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets - At the end of Fiscal Year 2019 the City had invested \$284.16 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 12.54%. Additional information on the City's capital assets can be found in Note 4.C. beginning on page 48 of this report.

Long-term debt - At the end of the current fiscal year, the City had total long-term debt outstanding of \$58.77 million as compared to \$56.86 million at the end of the prior fiscal year. Of this amount, \$20.91 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds, except for TVA weatherization contracts in the amount of \$70,235. Information on the City's long-term debt can be found in Note 4.E. beginning on page 50 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

MANAGEMENT'S DISCUSSION AND ANALYSIS

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

General Fund Revenue –Property tax revenues grew slightly for the year. Most other general revenue sources showed moderate growth. Charges for services increased mainly due to increased Parks and Recreation revenues.

General Fund Expenditures and Capital Outlay – Departments were encouraged to be prudent and frugal with spending even though additional positions were funded to accommodate the growth of the City and the increased demands on staff. Most capital funding was to complete existing, ongoing projects or for grant funded projects.

General Fund Balance – At the end of the current fiscal year, unassigned fund balance in the general fund was \$16.29 million. The decrease from the previous year was mainly related to a significant amount of capital projects that were completed in the current fiscal year.

Next Year's Budget and Rates – The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin, 132 West Main Street, Gallatin, TN, 37066.

BASIC FINANCIAL STATEMENTS

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
June 30, 2019

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash equivalents	\$ 15,416,901	\$ 36,670,420	\$ 52,087,321
Certificates of deposit	2,377,682	4,610,088	6,987,770
Investments	21,025	-	21,025
Receivables			
Interest	289,404	-	289,404
Taxes (net of allowance)	12,391,138	-	12,391,138
Accounts (net of allowance)	534,262	9,662,054	10,196,316
Fines (net of allowance)	28,555	-	28,555
Grant	3,205,944	-	3,205,944
Intergovernmental	2,924,666	-	2,924,666
Other	151,352	7,990	159,342
Prepayments and other current assets	582,223	80,979	663,202
Materials and supplies	56,002	3,484,390	3,540,392
Restricted assets:			
Cash and cash equivalents	6,039,259	7,702	6,046,961
Other receivables	-	93,564	93,564
Contracts receivable - for home weatherization program	-	65,378	65,378
Acquisition adjustments	-	88,637	88,637
Capital assets, not being depreciated			
Land	14,362,591	3,422,387	17,784,978
Construction in progress	44,711	2,198,586	2,243,297
Capital assets, net of accumulated depreciation			
Transmission plant	-	344,863	344,863
Distribution plant	-	140,345,766	140,345,766
General plant	-	1,411,960	1,411,960
Buildings	14,925,145	28,056,323	42,981,468
Improvements other than buildings	71,196,861	-	71,196,861
Equipment	1,723,807	879,026	2,602,833
Rolling stock	3,915,286	972,215	4,887,501
Office furniture and equipment	297,561	61,261	358,822
Total assets	150,484,375	232,463,589	382,947,964
Deferred outflows of resources			
Contributions to pension/OPEB funds subsequent to the measurement date	217,166	1,268,564	1,485,730
Differences between expected and actual experience - pensions/OPEB	-	119,954	119,954
Pension change of assumptions	-	570,084	570,084
Net difference between expected and actual earnings on pension plan investments	-	87,390	87,390
Loss on bond refunding	314,684	1,780,819	2,095,503
Total deferred outflows of resources	\$ 531,850	\$ 3,826,811	\$ 4,358,661

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
June 30, 2019

	Governmental Activities	Business-type Activities	Total
Liabilities			
Accounts payable	\$ 2,684,564	\$ 13,075,074	\$ 15,759,638
Accrued expenses	-	234,717	234,717
Accrued interest	369,125	665,651	1,034,776
Customer deposits	-	4,457,605	4,457,605
Unearned revenue	58,573	-	58,573
Unearned evidence funds	90,136	-	90,136
Unearned grant revenue	6,620	-	6,620
Performance deposits	2,730,274	-	2,730,274
Long-term liabilities:			
Due within one year	1,568,386	2,402,172	3,970,558
Due in excess of one year	22,529,211	39,677,910	62,207,121
Other liabilities due in more than one year:			
OPEB liability	-	472,427	472,427
Net pension liability	-	1,120,020	1,120,020
Total liabilities	30,036,889	62,105,576	92,142,465
Deferred inflows of resources			
Deferred property taxes	12,158,928	-	12,158,928
Pension - actuarial experience	-	211,645	211,645
Pension change of assumptions	-	321,534	321,534
Total deferred inflows of resources	12,158,928	533,179	12,692,107
Net Position			
Net investment in capital assets	89,932,089	136,551,453	226,483,542
Restricted for			
Workman's compensation adjustment	-	7,702	7,702
Funds held in trust	443,745	-	443,745
Environmental services	569,771	-	569,771
Drug enforcement	79,828	-	79,828
Economic development	148,010	-	148,010
Stormwater	83,700	-	83,700
Unrestricted	17,563,265	37,092,490	54,655,755
Total net position	\$ 108,820,408	\$ 173,651,645	\$ 282,472,053

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF ACTIVITIES

For the Fiscal Year Ended June 30, 2019

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position		Total
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-type Activities	
Primary government							
Governmental activities							
General government	\$ 10,194,485	\$ 3,497,645	\$ 644,459	\$ 12,225,359	\$ 6,172,978	\$ -	\$ 6,172,978
Public safety	15,685,627	737,197	655,551	-	(14,292,879)	-	(14,292,879)
Engineering	2,300,750	-	37,774	-	(2,262,976)	-	(2,262,976)
Environmental services	2,194,040	2,093,861	-	-	(100,179)	-	(100,179)
Public works	585,600	-	-	83,509	(502,091)	-	(502,091)
Highways and streets	1,252,628	-	1,279,099	-	26,471	-	26,471
Vehicle maintenance	612,519	201,963	-	-	(410,556)	-	(410,556)
Parks and recreation	4,286,418	1,826,207	-	-	(2,460,211)	-	(2,460,211)
Economic development	816,593	-	-	-	(816,593)	-	(816,593)
Tourism	123,052	-	-	-	(123,052)	-	(123,052)
Debt service	702,384	-	-	-	(702,384)	-	(702,384)
Total governmental activities	<u>38,754,096</u>	<u>8,356,873</u>	<u>2,616,883</u>	<u>12,308,868</u>	<u>(15,471,472)</u>	<u>-</u>	<u>(15,471,472)</u>
Business-type activities							
Electric	70,565,030	72,651,375	-	904,789	-	2,991,134	2,991,134
Water & Sewer	13,321,850	15,393,973	-	4,002,963	-	6,075,086	6,075,086
Gas	13,612,534	16,229,081	-	-	-	2,616,547	2,616,547
Total business-type activities	<u>\$ 97,499,414</u>	<u>\$ 104,274,429</u>	<u>\$ -</u>	<u>\$ 4,907,752</u>	<u>-</u>	<u>11,682,767</u>	<u>11,682,767</u>
General revenues							
Property taxes - levied for general government					11,149,749	-	11,149,749
In lieu of taxes - other governments					757,141	-	757,141
Sales taxes					12,145,080	-	12,145,080
Franchise taxes					487,103	-	487,103
Alcoholic beverage taxes					1,563,354	-	1,563,354
Business taxes					1,014,325	-	1,014,325
Income taxes					565,252	-	565,252
Other sources					225,486	-	225,486
Sale of capital assets					1,128,826	-	1,128,826
Unrestricted interest income					298,873	229,021	527,894
Total general revenues					<u>29,335,189</u>	<u>229,021</u>	<u>29,564,210</u>
Transfers							
In lieu of taxes in (out)					1,610,234	(1,610,234)	-
Total transfers					<u>1,610,234</u>	<u>(1,610,234)</u>	<u>-</u>
Total general revenues and transfers					<u>30,945,423</u>	<u>(1,381,213)</u>	<u>29,564,210</u>
Changes in net position					15,473,951	10,301,554	25,775,505
Net position - beginning					<u>94,142,720</u>	<u>163,266,075</u>	<u>257,408,795</u>
Prior period adjustment/restatement					<u>(796,263)</u>	<u>84,016</u>	<u>(712,247)</u>
Net position, beginning - restated					<u>93,346,457</u>	<u>163,350,091</u>	<u>256,696,548</u>
Net position - ending					<u>\$ 108,820,408</u>	<u>\$ 173,651,645</u>	<u>\$ 282,472,053</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2019

	General	Capital Projects	Other Governmental Funds	Total Governmental Funds
Assets				
Cash and cash equivalents	\$ 11,338,509	\$ -	\$ 4,078,392	\$ 15,416,901
Restricted cash and cash equivalents	-	6,039,259	-	6,039,259
Certificates of deposit	2,377,682	-	-	2,377,682
Investments	-	-	21,025	21,025
Receivables				
Interest	277,915	-	11,489	289,404
Taxes (net of allowance of \$265,476)	12,391,138	-	-	12,391,138
Accounts (net of allowance of \$1,275)	283,020	43,255	207,987	534,262
Fines (net of allowance of \$2,047,794)	28,555	-	-	28,555
Grants	325,302	2,880,642	-	3,205,944
Intergovernmental	2,924,666	-	-	2,924,666
Other (net allowance of \$18,614)	-	-	151,352	151,352
Due from other funds	45,000	-	-	45,000
Inventories	51,264	-	4,738	56,002
Prepaid expense	350,735	231,488	-	582,223
Total assets	\$ 30,393,786	\$ 9,194,644	\$ 4,474,983	\$ 44,063,413
Liabilities				
Accounts payable	\$ 848,634	\$ 1,576,833	\$ 259,097	\$ 2,684,564
Due to other funds	-	-	45,000	45,000
Accrued expenses	-	-	-	-
Unearned revenue	58,573	-	-	58,573
Unearned evidence funds	-	-	90,136	90,136
Unearned grant revenue	-	6,620	-	6,620
Performance deposits	-	-	2,730,274	2,730,274
Total liabilities	907,207	1,583,453	3,124,507	5,615,167
Deferred inflows of resources				
Unavailable property taxes	12,612,145	-	-	12,612,145
Unavailable court fines	28,555	-	-	28,555
Total deferred inflows of resources	12,640,700	-	-	12,640,700
Fund balances				
Nonspendable				
Prepays	350,735	231,488	-	582,223
Funds held in trust	-	-	36,025	36,025
Inventory	51,264	-	4,738	56,002
Restricted for:				
Funds held in trust	-	-	407,720	407,720
Environmental services	-	-	569,771	569,771
Drug enforcement	-	-	79,828	79,828
Economic development	-	-	148,010	148,010
Stormwater	-	-	83,700	83,700
Committed for:				
Economic development	156,408	-	-	156,408
Assigned for				
Capital projects	-	7,379,703	-	7,379,703
Police special projects	-	-	8,529	8,529
Cemetery	-	-	12,155	12,155
Unassigned	16,287,472	-	-	16,287,472
Total fund balances	16,845,879	7,611,191	1,350,476	25,807,546
Total liabilities, deferred inflows of resources, and fund balances	\$ 30,393,786	\$ 9,194,644	\$ 4,474,983	\$ 44,063,413

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
June 30, 2019

Amounts reported for the governmental activities in the statement of net position (Pages 11 and 12) are different because:

Fund balance - total governmental funds (Page 14)	\$ 25,807,546
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in funds.	106,465,962
Receivables not available to pay for current expenditures and, therefore, are deferred in the funds.	481,772
Long-term liabilities, including notes, bonds, leases payable, and other long term liabilities are not due in the current period and, therefore, are not reported in the funds.	
Bonds payable	(20,905,000)
Bond premiums	(1,668,132)
Compensated absences	(1,524,465)
Deferred outflows of resources, specifically deferred loss on refunding and pension contributions are not due in the current period and, therefore, are not reported in the funds	531,850
Payables, such as accrued interest payable, are not due and payable in the current period and, therefore, are not reported in the funds.	<u>(369,125)</u>
Net position - governmental activities (Page 12)	<u>\$ 108,820,408</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS

For the Fiscal Year Ended June 30, 2019

		Capital	Other	Total
	General	Projects	Governmental	Governmental
Revenues			Funds	Funds
Taxes	\$ 23,082,274	\$ -	\$ -	\$ 23,082,274
Licenses and permits	2,146,030	-	-	2,146,030
Intergovernmental	6,642,826	3,985,993	-	10,628,819
Charges for services	2,495,664	-	2,980,970	5,476,634
Fines	595,911	-	141,286	737,197
Other	2,051,530	134,315	185,382	2,371,227
Total revenues	<u>37,014,235</u>	<u>4,120,308</u>	<u>3,307,638</u>	<u>44,442,181</u>
Expenditures				
Current				
General government	7,662,339	26,095	798,031	8,486,465
Public safety	15,053,218	-	64,847	15,118,065
Engineering	2,140,367	-	-	2,140,367
Environmental services	-	-	1,993,528	1,993,528
Public works	358,438	-	-	358,438
Highways and streets	1,247,581	-	1,100	1,248,681
Vehicle maintenance	558,341	-	-	558,341
Parks and recreation	4,250,990	7,593	-	4,258,583
Economic development	791,982	-	21,684	813,666
Tourism	123,052	-	-	123,052
Capital outlay	3,719,611	9,001,087	865,878	13,586,576
Debt service				
Principal	1,795,000	-	-	1,795,000
Interest	808,175	-	-	808,175
Other debt service expense	600	-	-	600
Total expenditures	<u>38,509,694</u>	<u>9,034,775</u>	<u>3,745,068</u>	<u>51,289,537</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(1,495,459)</u>	<u>(4,914,467)</u>	<u>(437,430)</u>	<u>(6,847,356)</u>
Other financing sources (uses)				
Transfers in - in lieu of taxes	1,610,234	-	-	1,610,234
Transfers (to)/from other funds	(765,863)	415,863	350,000	-
Total other financing sources (uses)	<u>844,371</u>	<u>415,863</u>	<u>350,000</u>	<u>1,610,234</u>
Net changes in fund balances	(651,088)	(4,498,604)	(87,430)	(5,237,122)
Fund balances - beginning	<u>17,930,282</u>	<u>12,472,743</u>	<u>1,437,906</u>	<u>31,840,931</u>
Prior period adjustment/restatement	<u>(433,315)</u>	<u>(362,948)</u>	<u>-</u>	<u>(796,263)</u>
Fund balance - beginning - restated	<u>17,496,967</u>	<u>12,109,795</u>	<u>1,437,906</u>	<u>31,044,668</u>
Fund balances - ending	<u>\$ 16,845,879</u>	<u>\$ 7,611,191</u>	<u>\$ 1,350,476</u>	<u>\$ 25,807,546</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES,
AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO
THE STATEMENT OF ACTIVITIES
For the Fiscal Year Ended June 30, 2019

Amounts reported for the governmental activities in the statement of activities (Page 13) are different because:

Net change in fund balances - total governmental funds (Page 16)	\$ (5,237,122)
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period. This is the amount by which capital outlays exceeded depreciation in the current period.	10,376,316
The payment of pension contributions consumes current financial resources in the governmental funds. These transactions do not have any effect on the net position, but are considered deferred outflows of resources, while pension expense has no effect on the fund statements but does effect net position. Contributions subsequent to the measurement date- Pension	217,166
The donation of capital assets does not provide current financial resources and are not reported as revenues in the funds	8,181,700
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.	(6,060)
The repayment of the principal of long-term debt consumes the current financial resources of governmental funds. These transactions do not have any effect on net position.	1,884,745
Some expenses reported in the statement of activities, such as amortization expense, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds Amortization of loss on refunding Amortization of bond premium	(41,958) 113,386
Some expenses reported in the statement of activities, such as accrued leave and accrued interest, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	<u>(14,222)</u>
Change in net position of governmental activities (Page 13)	<u>\$ 15,473,951</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
June 30, 2019

Assets and deferred outflows of resources	Electric Division	Water & Sewer Division	Gas Division	Totals
Current assets				
Cash on hand	\$ -	\$ 2,230	\$ 280	\$ 2,510
Cash and cash equivalents - general	7,822,571	15,408,441	13,436,898	36,667,910
Cash and cash equivalents - restricted	7,702	-	-	7,702
Certificates of deposit	4,610,088	-	-	4,610,088
Accounts receivable - trade (net of allowance for uncollectibles)	7,212,438	1,593,542	856,074	9,662,054
Accounts receivable - other	-	374	7,616	7,990
Prepayments and other current assets	26,710	-	54,269	80,979
Materials and supplies	1,302,900	696,074	1,485,416	3,484,390
Portion of non-current receivables due within one year	24,242	-	-	24,242
Total current assets	<u>21,006,651</u>	<u>17,700,661</u>	<u>15,840,553</u>	<u>54,547,865</u>
Noncurrent assets				
Other assets				
Other receivables	93,564	-	-	93,564
Contracts receivable - for home weatherization	41,136	-	-	41,136
Acquisition adjustments	88,637	-	-	88,637
Total other assets	<u>223,337</u>	<u>-</u>	<u>-</u>	<u>223,337</u>
Capital assets, not being depreciated				
Land	2,062,301	1,128,639	231,447	3,422,387
Construction in progress	1,372,126	826,460	-	2,198,586
Capital assets, net of accumulated depreciation				
Transmission plant	344,863	-	-	344,863
Distribution plant	27,950,532	78,310,924	34,084,310	140,345,766
General plant	1,411,960	-	-	1,411,960
Buildings	-	27,394,806	661,517	28,056,323
Operating equipment	-	691,513	187,513	879,026
Rolling stock	-	693,717	278,498	972,215
Office furniture and equipment	-	8,055	53,206	61,261
Total capital assets	<u>33,141,782</u>	<u>109,054,114</u>	<u>35,496,491</u>	<u>177,692,387</u>
Total noncurrent assets	<u>33,365,119</u>	<u>109,054,114</u>	<u>35,496,491</u>	<u>177,915,724</u>
Total assets	<u>54,371,770</u>	<u>126,754,775</u>	<u>51,337,044</u>	<u>232,463,589</u>
Deferred outflows of resources				
Loss on bond refunding	-	1,780,819	-	1,780,819
Differences between expected and actual experience - pensions	119,954	-	-	119,954
Pension change of assumptions	570,084	-	-	570,084
Net difference between expected and actual earnings on pension plan investments	87,390	-	-	87,390
Contributions to pension fund	1,215,783	39,180	13,601	1,268,564
Total deferred outflows of resources	<u>\$ 1,993,211</u>	<u>\$ 1,819,999</u>	<u>\$ 13,601</u>	<u>\$ 3,826,811</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2019

	Electric Division	Water & Sewer Division	Gas Division	Totals
Liabilities				
Current liabilities				
Accounts payable	\$ 11,478,329	\$ 600,512	\$ 996,233	\$ 13,075,074
Other accrued expense	232,768	40	1,909	234,717
Accrued interest	31,196	634,455	-	665,651
Customers' deposits	4,010,216	214,917	232,472	4,457,605
Accrued leave	164,200	-	-	164,200
Current maturities of long-term debt	29,099	1,948,626	260,247	2,237,972
Total current liabilities	15,945,808	3,398,550	1,490,861	20,835,219
Noncurrent liabilities				
Bonds payable (less current maturities)	-	33,285,755	5,734,943	39,020,698
Accrued leave	78,031	309,454	199,492	586,977
Net pension liability	1,120,020	-	-	1,120,020
OPEB Liability	472,427	-	-	472,427
Advances from Tennessee Valley Authority - Home Insulation Program	70,235	-	-	70,235
Total noncurrent liabilities	1,740,713	33,595,209	5,934,435	41,270,357
Total liabilities	17,686,521	36,993,759	7,425,296	62,105,576
Deferred inflows of resources				
Difference between expected and actual experience	211,645	-	-	211,645
Change of assumptions	321,534	-	-	321,534
Total deferred inflows of resources	533,179	-	-	533,179
Net position				
Net investment in capital assets	33,230,419	73,819,733	29,501,301	136,551,453
Restricted - workman's compensation adjustment	7,702	-	-	7,702
Unrestricted	4,907,160	17,761,282	14,424,048	37,092,490
Total net position	\$ 38,145,281	\$ 91,581,015	\$ 43,925,349	\$ 173,651,645

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
PROPRIETARY FUNDS

For the Fiscal Year Ended June 30, 2019

	Electric Division	Water & Sewer Division	Gas Division	Totals
Operating revenues				
Charges for sales and service	\$ 71,687,516	\$ 14,794,799	\$ 15,759,209	\$ 102,241,524
Forfeited discounts	273,273	146,868	-	420,141
Other operating revenue	690,586	452,306	469,872	1,612,764
Total operating revenues	<u>72,651,375</u>	<u>15,393,973</u>	<u>16,229,081</u>	<u>104,274,429</u>
Operating expenses				
Cost of sales and service	63,170,060	-	9,977,372	73,147,432
Water treatment and pumping	-	1,652,522	-	1,652,522
Transmission and distribution	2,133,904	1,304,873	1,353,673	4,792,450
Customer service and collection	789,028	648,325	577,833	2,015,186
General administration	1,565,432	1,076,330	460,936	3,102,698
Sewer collection	-	1,304,536	-	1,304,536
Sewer system rehab	-	550,613	-	550,613
Sewer treatment and disposal	-	1,676,326	-	1,676,326
Sewer pretreatment	-	88,239	-	88,239
Maintenance	1,012,484	-	-	1,012,484
Customer deposit interest	32,585	-	-	32,585
Amortization - acquisition adjustments	63,537	-	-	63,537
Provision for depreciation	1,798,000	3,481,919	1,135,412	6,415,331
Total operating expenses	<u>70,565,030</u>	<u>11,783,683</u>	<u>13,505,226</u>	<u>95,853,939</u>
Operating income (loss)	<u>2,086,345</u>	<u>3,610,290</u>	<u>2,723,855</u>	<u>8,420,490</u>
Nonoperating revenues (expenses)				
Interest and other income	134,143	41,830	53,048	229,021
Tap fees	-	741,302	-	741,302
Amortization of bond premiums	-	173,626	-	173,626
Amortization of loss on refunding	-	(87,805)	-	(87,805)
Bond Issuance Costs	-	-	(107,308)	(107,308)
Interest and other expense	-	(1,623,988)	-	(1,623,988)
Total nonoperating revenues (expenses)	<u>134,143</u>	<u>(755,035)</u>	<u>(54,260)</u>	<u>(675,152)</u>
Income (loss) before transfers and contributions	<u>2,220,488</u>	<u>2,855,255</u>	<u>2,669,595</u>	<u>7,745,338</u>
Transfers and capital contributions				
Transfers out - in lieu of taxes	(834,601)	(437,702)	(337,931)	(1,610,234)
Capital contributions	904,789	3,261,661	-	4,166,450
Total transfers and capital contributions	<u>70,188</u>	<u>2,823,959</u>	<u>(337,931)</u>	<u>2,556,216</u>
Change in net position	2,290,676	5,679,214	2,331,664	10,301,554
Total net position - beginning	<u>35,854,605</u>	<u>85,029,293</u>	<u>42,382,177</u>	<u>163,266,075</u>
Prior period adjustment/restatement	-	872,508	(788,492)	84,016
Total net position - beginning - restated	<u>35,854,605</u>	<u>85,901,801</u>	<u>41,593,685</u>	<u>163,350,091</u>
Total net position - ending	<u>\$ 38,145,281</u>	<u>\$ 91,581,015</u>	<u>\$ 43,925,349</u>	<u>\$ 173,651,645</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2019

	Electric Division	Water & Sewer Division	Gas Division	Totals
Cash flows from operating activities:				
Cash received from consumers	\$ 72,783,157	\$ 16,248,496	\$ 16,367,916	\$ 105,399,569
Cash paid to suppliers of goods and services	(66,661,127)	(5,958,750)	(11,126,267)	(83,746,144)
Cash paid to employees for services	(2,809,349)	(3,042,875)	(1,007,658)	(6,859,882)
Interest paid on customer deposits	(32,585)	-	-	(32,585)
Net decrease in TVA loan funds receivable	45,100	-	-	45,100
Net decrease in TVA loan funds payable	(47,213)	-	-	(47,213)
Net change in customer deposits	289,694	27,897	28,022	345,613
Payments in lieu of tax	(834,601)	(437,702)	(337,931)	(1,610,234)
Net cash provided (used) by operating activities	<u>2,733,076</u>	<u>6,837,066</u>	<u>3,924,082</u>	<u>13,494,224</u>
Cash flows from capital and related financing activities:				
Capital contributed by customers and grants	904,789	3,261,661	-	4,166,450
Principal paid on debt	-	(1,730,000)	-	(1,730,000)
Proceeds from the issuance of debt	-	-	5,887,882	5,887,882
Interest paid on bonds, notes and leases	-	(1,326,335)	-	(1,326,335)
Construction and acquisition of plant	(3,057,378)	(11,541,948)	(4,894,226)	(19,493,552)
Received on sale of assets	22,054	-	-	22,054
Plant removal cost	(117,441)	-	-	(117,441)
Net cash provided (used) by capital and related financing activities	<u>(2,247,976)</u>	<u>(11,336,622)</u>	<u>993,656</u>	<u>(12,590,942)</u>
Cash flows from investing activities:				
Purchase of certificates of deposit	(36,264)	-	-	(36,264)
Interest and other income	<u>126,366</u>	<u>41,830</u>	<u>53,048</u>	<u>221,244</u>
Net cash provided (used) by investing activities	<u>90,102</u>	<u>41,830</u>	<u>53,048</u>	<u>184,980</u>
Net increase (decrease) in cash and cash equivalents	575,202	(4,457,726)	4,970,786	1,088,262
Cash and cash equivalents - beginning of year	<u>7,255,071</u>	<u>19,868,397</u>	<u>8,466,392</u>	<u>35,589,860</u>
Cash and cash equivalents - end of year	<u>\$ 7,830,273</u>	<u>\$ 15,410,671</u>	<u>\$ 13,437,178</u>	<u>\$ 36,678,122</u>
Cash and cash equivalents				
Unrestricted cash on hand	-	2,230	280	2,510
Unrestricted cash and cash equivalents on deposit	7,822,571	15,408,441	13,436,898	36,667,910
Restricted cash and cash equivalents on deposit	<u>7,702</u>	<u>-</u>	<u>-</u>	<u>7,702</u>
Total cash and cash equivalents	<u>\$ 7,830,273</u>	<u>\$ 15,410,671</u>	<u>\$ 13,437,178</u>	<u>\$ 36,678,122</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2019

	<u>Electric Division</u>	<u>Water & Sewer Division</u>	<u>Gas Division</u>	<u>Totals</u>
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:				
Operating income (loss)	\$ 2,086,345	\$ 3,610,290	\$ 2,676,355	\$ 8,372,990
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:				
Depreciation and amortization of acquisition costs	1,936,190	3,481,919	1,135,412	6,553,521
Payments in lieu of tax	(834,601)	(437,702)	(337,931)	(1,610,234)
Transfers from other funds	-	-	47,500	47,500
Tap fees	-	741,302	-	741,302
Pension related changes	(451,311)	(39,180)	(13,601)	(504,092)
Changes in assets and liabilities:				
Accounts receivable	421,476	113,221	138,835	673,532
Materials and supplies	51,258	(90,084)	114,680	75,854
Prepayments and other current assets	(1,950)	-	1,944	(6)
TVA contracts receivable - home weatherization	45,100	-	-	45,100
Accounts payable	(338,419)	(533,290)	133,027	(738,682)
Other accrued expense	25,354	(48,411)	(14,770)	(37,827)
Accrued interest	5,092	-	-	5,092
Customers' deposits	289,694	27,897	28,022	345,613
Accrued leave	(17,189)	11,104	14,609	8,524
TVA contracts payable - home weatherization	(47,213)	-	-	(47,213)
Accrued post employment benefits other than pensions	(436,750)	-	-	(436,750)
Net cash provided (used) by operating activities	<u>\$ 2,733,076</u>	<u>\$ 6,837,066</u>	<u>\$ 3,924,082</u>	<u>\$ 13,494,224</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Revenues:	Original	Final	Actual	
Taxes:				
Property tax current	\$10,870,000	\$10,870,000	\$ 10,901,023	\$ 31,023
Property taxes delinquent	300,000	300,000	217,294	(82,706)
Property tax penalty and interest	100,000	100,000	37,492	(62,508)
Local sales tax	9,000,000	9,000,000	9,069,873	69,873
Local beer tax	1,100,000	1,100,000	1,039,761	(60,239)
Local liquor tax	350,000	350,000	306,902	(43,098)
Business tax	975,000	975,000	986,806	11,806
Privilege tax	30,000	30,000	27,519	(2,481)
Cable TV franchise fee	485,000	485,000	487,103	2,103
Occupancy Tax	130,000	130,000	-	(130,000)
Special assessments	10,000	10,000	8,501	(1,499)
	<u>23,350,000</u>	<u>23,350,000</u>	<u>23,082,274</u>	<u>(267,726)</u>
Licenses and permits:				
Beer licenses	4,500	4,500	2,988	(1,512)
Building permits	1,250,000	1,250,000	828,589	(421,411)
Plumbing permits	300,000	300,000	157,353	(142,647)
Planning fees	350,000	350,000	239,808	(110,192)
Other mechanical permits	375,000	375,000	198,815	(176,185)
Other permits	1,102,800	1,102,800	718,477	(384,323)
	<u>3,382,300</u>	<u>3,382,300</u>	<u>2,146,030</u>	<u>(1,236,270)</u>
Intergovernmental:				
In lieu of tax - Housing authority	3,400	3,400	3,550	150
In lieu of tax - industry	85,000	85,000	166,654	81,654
State - sales tax	3,000,000	3,000,000	3,057,466	57,466
State - income tax	300,000	300,000	492,606	192,606
State - beer tax	20,000	20,000	15,959	(4,041)
State - mixed drink tax	200,000	200,000	197,744	(2,256)
State - gas and motor fuel tax	1,300,000	1,300,000	652,749	(647,251)
State - gas - 1989	-	-	104,131	104,131
State - gas - 3 cent	-	-	192,948	192,948
State - gas - 2017	-	-	260,822	260,822
State - petroleum special	75,000	75,000	68,449	(6,551)
State - telecomm	12,500	12,500	17,741	5,241
State - TVA in lieu of tax	500,000	500,000	521,651	21,651
State - excise tax	75,000	75,000	72,646	(2,354)
State salary supplements	-	38,400	82,800	44,400
Signal Grant	-	1,886,500	197,971	(1,688,529)
Fire Equipment Grant	-	567,528	-	(567,528)
Other federal grants	657,862	980,634	350,842	(629,792)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Revenues:	Original	Final	Actual	
Intergovernmental (cont.):				
Sidewalk grant	\$ -	\$ 960,000	\$ 83,509	\$ (876,491)
Recycling Grant	-	-	50,729	50,729
Government Highway Safety Grant	-	-	37,774	37,774
Other state grants	10,000	10,000	14,085	4,085
	<u>6,238,762</u>	<u>10,013,962</u>	<u>6,642,826</u>	<u>(3,371,136)</u>
Charges for services:				
Admin and management services	140,375	140,375	160,707	20,332
Accounting and management services	95,766	95,766	111,117	15,351
Personnel services	50,629	50,629	36,803	(13,826)
Other legal services	108,361	108,361	86,073	(22,288)
Miscellaneous	141,300	171,300	38,492	(132,808)
Vehicle maintenance charges	220,000	220,000	201,963	(18,037)
Rent	32,800	32,800	34,302	1,502
Golf course revenue	831,000	831,000	779,682	(51,318)
Civic center revenue	972,000	972,000	1,046,525	74,525
	<u>2,592,231</u>	<u>2,622,231</u>	<u>2,495,664</u>	<u>(126,567)</u>
Fines and forfeitures:				
Fines and forfeitures:	396,500	396,500	379,761	(16,739)
A.C.E.S red light revenue	180,000	180,000	195,735	15,735
Drug fines	17,500	17,500	20,415	2,915
	<u>594,000</u>	<u>594,000</u>	<u>595,911</u>	<u>1,911</u>
Other:				
Miscellaneous	5,000	5,000	72,210	67,210
Sale of land	-	-	999,410	999,410
Sale of cemetery lots	15,000	15,000	12,250	(2,750)
Sale of materials	2,000	13,224	15,817	2,593
Sale of equipment	40,000	40,000	56,479	16,479
Donations	85,000	450,652	575,733	125,081
Insurance recoveries	-	54,849	71,281	16,432
Interest	200,000	200,000	248,350	48,350
	<u>347,000</u>	<u>778,725</u>	<u>2,051,530</u>	<u>1,272,805</u>
Total revenues	\$ 36,504,293	\$ 40,741,218	\$ 37,014,235	\$ (3,726,983)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
General government:				
Mayor's office:				
Current:				
Salaries	\$ 234,946	\$ 234,946	\$ 242,791	\$ 7,845
Employee benefits and taxes	62,370	62,370	61,991	(379)
Officials fees	48,650	48,650	36,200	(12,450)
Printing & publications	7,350	7,350	2,926	(4,424)
Membership fees	40,000	40,000	35,893	(4,107)
Utilities	3,000	3,000	1,871	(1,129)
Other professional services	85,000	95,000	83,285	(11,715)
Travel and meals	16,500	16,500	5,291	(11,209)
Mayor's expenses	5,000	5,000	2,438	(2,562)
Council expenses	14,000	14,000	13,398	(602)
Office supplies	6,000	6,000	3,476	(2,524)
Payments in lieu of tax	175,000	175,000	166,920	(8,080)
County portion of liquor tax	190,000	190,000	182,176	(7,824)
Discounts on taxes	15,000	15,000	9,666	(5,334)
Grants, donations	2,500	2,500	3,738	1,238
RTA program	60,000	60,000	55,597	(4,403)
Prizes and awards	16,000	16,000	10,981	(5,019)
Downtown landscape and streetscape	28,024	30,024	6,817	(23,207)
Miscellaneous	45,330	85,330	11,529	(73,801)
Capital outlay	2,500	2,500	-	(2,500)
	<u>1,057,170</u>	<u>1,109,170</u>	<u>936,984</u>	<u>(172,186)</u>
Finance department:				
Current:				
Salaries	398,915	398,915	394,088	(4,827)
Employee benefits and taxes	95,885	95,885	96,556	671
Postage	5,000	5,000	6,727	1,727
Printing & publications	3,000	3,000	4,147	1,147
Membership fees	500	500	300	(200)
Utilities	300	300	892	592
Accounting services	67,380	67,380	63,380	(4,000)
Repairs and maintenance	1,250	1,250	900	(350)
Training	2,000	2,000	1,204	(796)
Operating supplies	5,000	5,000	1,728	(3,272)
Miscellaneous	1,850	1,850	(13,086)	(14,936)
Noncapital expenditures	8,000	8,000	4,950	(3,050)
	<u>\$ 589,080</u>	<u>\$ 589,080</u>	<u>\$ 561,786</u>	<u>\$ (27,294)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Expenditures:				
General government:				
City recorder:				
Current:				
Salaries	\$ 299,108	\$ 299,108	\$ 271,199	\$ (27,909)
Employee benefits and taxes	104,366	104,366	90,436	(13,930)
Postage	13,000	13,000	13,215	215
Printing & publications	2,000	2,000	774	(1,226)
Membership fees	2,500	2,500	3,048	548
Utilities	600	600	81	(519)
Data processing services	20,000	20,000	20,867	867
Other professional services	3,500	3,500	2,200	(1,300)
Travel	2,500	2,500	1,672	(828)
Other contractual services	11,000	11,000	891	(10,109)
Office supplies	4,500	4,500	3,197	(1,303)
Miscellaneous	5,630	5,630	7,252	1,622
Noncapital expenditures	6,500	6,500	4,766	(1,734)
	<u>475,204</u>	<u>475,204</u>	<u>419,598</u>	<u>(55,606)</u>
Risk management:				
Current:				
HRA expense	130,000	130,000	124,022	(5,978)
Workers compensation	340,000	340,000	323,085	(16,915)
ADA transition plan	404,316	404,316	85,800	(318,516)
Building insurance	75,000	75,000	69,355	(5,645)
General liability	325,000	325,000	313,178	(11,822)
	<u>1,274,316</u>	<u>1,274,316</u>	<u>915,440</u>	<u>(358,876)</u>
Attorney:				
Current:				
Salaries	318,570	318,570	317,390	(1,180)
Employee benefits and taxes	86,453	86,453	84,550	(1,903)
Printing & publications	3,250	3,250	2,408	(842)
Licenses	1,300	1,300	-	(1,300)
Tax law or other publications	12,500	12,500	9,728	(2,772)
Membership fees	4,000	4,000	2,919	(1,081)
Utilities	1,800	1,800	1,311	(489)
Legal services	20,000	20,000	22,585	2,585

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
Expenditures:				
General government:				
Attorney:				
Current:				
Other professional services	\$ 20,000	\$ 20,000	\$ 1,810	\$ (18,190)
Travel and meals	3,250	3,250	2,409	(841)
Training	2,500	2,500	2,531	31
Office supplies	650	650	179	(471)
Educational supplies	19,975	19,975	(5,000)	(24,975)
Miscellaneous	2,550	2,550	1,461	(1,089)
Noncapital expenditures	1,500	1,500	-	(1,500)
	<u>498,298</u>	<u>498,298</u>	<u>444,281</u>	<u>(54,017)</u>
Information technology:				
Current:				
Salaries	411,112	411,112	393,410	(17,702)
Employee benefits and taxes	125,784	125,784	118,126	(7,658)
Copier expense	500	500	330	(170)
Membership fees	1,000	1,000	285	(715)
Utilities	6,000	6,000	4,661	(1,339)
Other professional services	51,600	51,600	47,300	(4,300)
Other contractual services	590,799	607,914	580,064	(27,850)
Training	20,000	20,000	19,095	(905)
Office supplies	2,500	2,500	1,516	(984)
Operating supplies	9,000	13,883	13,727	(156)
Miscellaneous	4,700	4,700	4,499	(201)
Noncapital expenditures	338,230	502,186	191,216	(310,970)
Capital outlay	-	-	132,199	132,199
	<u>1,561,225</u>	<u>1,747,179</u>	<u>1,506,428</u>	<u>(240,751)</u>
Personnel:				
Current:				
Salaries	207,521	207,521	201,795	(5,726)
Employee benefits and taxes	54,034	54,034	47,883	(6,151)
Printing & publications	1,500	1,500	1,342	(158)
Utilities	625	625	577	(48)
Physicals	9,400	9,400	674	(8,726)
Professional services	500	500	5,639	5,139
Training	6,000	6,000	843	(5,157)
Office supplies	900	900	984	84
Operating supplies	3,000	3,000	3,224	224
Miscellaneous	11,225	11,225	3,698	(7,527)
Noncapital expenditures	500	2,864	3,152	288
	<u>\$ 295,205</u>	<u>\$ 297,569</u>	<u>\$ 269,811</u>	<u>\$ (27,758)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
General government:				
City Planner:				
Current:				
Salaries	\$ 499,716	\$ 499,716	\$ 481,827	\$ (17,889)
Employee benefits and taxes	152,676	152,676	135,154	(17,522)
Planning commission	19,775	19,775	15,168	(4,607)
Postage	1,750	1,750	1,010	(740)
Printing & publications	3,650	3,650	4,226	576
Membership fees	2,840	2,840	1,464	(1,376)
Utilities	2,750	2,750	3,057	307
Repairs and maintenance	2,000	2,000	340	(1,660)
Other Professional Services	-	20,000	-	(20,000)
Office supplies	4,250	4,250	3,718	(532)
Gas, oil, diesel, etc.	1,382	1,382	424	(958)
Miscellaneous	24,230	24,230	8,292	(15,938)
Noncapital expenditures	53,500	269,476	14,446	(255,030)
Capital outlay	-	-	16,151	16,151
	<u>768,519</u>	<u>1,004,495</u>	<u>685,277</u>	<u>(319,218)</u>
General government buildings:				
Current:				
Salaries	214,265	214,265	198,558	(15,707)
Employee benefits and taxes	75,483	75,483	68,739	(6,744)
Utilities	85,200	85,200	69,354	(15,846)
Repairs and maintenance	51,750	91,656	76,723	(14,933)
Other contractual services	20,000	26,840	23,783	(3,057)
Small equipment	2,000	2,000	1,766	(234)
Operating supplies	3,500	3,500	1,938	(1,562)
Janitorial supplies	8,500	8,500	9,420	920
Gas, oil, diesel, etc.	6,000	6,000	2,593	(3,407)
Miscellaneous	5,600	5,600	2,427	(3,173)
Noncapital expenditures	162,000	195,103	10,955	(184,148)
Capital outlay	-	-	30,749	30,749
	<u>\$ 634,298</u>	<u>\$ 714,147</u>	<u>\$ 497,005</u>	<u>\$ (217,142)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

Expenditures:	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
General government:				
Codes:				
Current:				
Salaries	\$ 814,748	\$ 814,748	\$ 816,166	\$ 1,418
Employee benefits and taxes	273,548	273,548	248,772	(24,776)
Postage	250	250	467	217
Printing & publications	13,600	13,600	5,390	(8,210)
Membership fees	4,500	4,500	3,653	(847)
Utilities	11,000	11,000	19,318	8,318
Repairs and maintenance	4,000	4,000	4,492	492
Other Professional Services	184,000	184,000	187,903	3,903
Office supplies	5,000	5,000	5,278	278
Gas, oil, diesel, etc.	10,000	10,000	14,275	4,275
Miscellaneous	35,000	35,000	36,609	1,609
Noncapital expenditures	30,000	30,000	4,655	(25,345)
Capital outlay	-	-	16,940	16,940
	<u>1,385,646</u>	<u>1,385,646</u>	<u>1,363,918</u>	<u>(21,728)</u>
Community services:				
Current:				
July 4th celebration	28,925	37,850	17,850	(20,000)
Appropriations to non profits	240,000	240,000	240,000	-
	<u>268,925</u>	<u>277,850</u>	<u>257,850</u>	<u>(20,000)</u>
Total general government	<u>8,807,886</u>	<u>9,372,954</u>	<u>7,858,378</u>	<u>(1,514,576)</u>
Public safety:				
Police:				
Current:				
Salaries	5,192,619	5,192,619	5,012,727	(179,892)
Employee benefits and taxes	1,920,228	1,991,900	1,743,620	(248,280)
Postage	3,000	3,000	4,763	1,763
Printing & publications	29,400	29,400	31,200	1,800
Membership fees	3,500	3,500	4,258	758
Public relations	1,500	2,500	2,414	(86)
Utilities	85,350	85,350	86,610	1,260
Physicals	8,000	8,000	11,075	3,075
Data processing services	30,000	30,000	20,403	(9,597)
Repairs and maintenances	86,850	86,850	106,271	19,421

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
Public safety:				
Police:				
Current:				
Travel	\$ 7,000	\$ 7,000	\$ 11,484	\$ 4,484
Other contractual services	37,500	37,500	34,248	(3,252)
Inmate crew expense	1,500	1,500	949	(551)
Reserve officers expense	8,000	8,000	13,080	5,080
Office supplies	5,100	5,100	4,624	(476)
Small office equipment	3,000	3,000	3,594	594
Operating supplies	35,000	38,500	36,353	(2,147)
Janitorial supplies	5,000	5,000	4,535	(465)
Clothing and uniforms	42,000	42,000	77,488	35,488
Fire arm supplies	20,000	20,000	19,614	(386)
Other operating supplies	3,000	3,000	3,609	609
Gas, oil, diesel, etc.	150,500	150,500	168,317	17,817
Other supplies	3,000	3,000	2,240	(760)
Traffic light camera expense	110,000	110,000	97,593	(12,407)
Other grants and donations	817,492	1,126,125	709,913	(416,212)
Noncapital expenditures	840,000	922,813	108,727	(814,086)
Capital outlay	-	-	725,035	725,035
	<u>9,448,539</u>	<u>9,916,157</u>	<u>9,044,744</u>	<u>(871,413)</u>
Fire department:				
Current:				
Salaries	4,943,127	5,044,303	4,465,267	(579,036)
Employee benefits and taxes	1,871,352	1,887,806	1,529,287	(358,519)
Radio and television services	4,500	4,500	945	(3,555)
Printing & publications	5,500	5,500	4,686	(814)
Membership fees	10,000	10,000	5,746	(4,254)
Utilities	60,305	60,305	54,498	(5,807)
Physicals	12,000	12,000	17,406	5,406
Repairs and maintenance	134,000	151,195	196,406	45,211
Travel	10,000	10,000	12,620	2,620
Other contractual services	20,000	20,000	21,019	1,019
Training	45,000	45,000	39,749	(5,251)
Office supplies	3,000	3,000	1,460	(1,540)
Small office equipment	2,000	2,000	545	(1,455)
Operating supplies	20,000	28,732	26,508	(2,224)
Janitorial supplies	9,000	9,000	8,581	(419)
Clothing and uniforms	30,000	30,000	28,242	(1,758)
Fire prevention supplies	5,000	5,415	5,533	118

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
Fire department:				
Current:				
Gas, oil, diesel, etc.	67,500	67,500	68,943	\$ 1,443
Miscellaneous	21,250	21,250	20,866	(384)
Noncapital expenditures	471,750	1,309,237	225,202	(1,084,035)
Capital outlay	-	-	450,999	450,999
	<u>7,745,284</u>	<u>8,726,743</u>	<u>7,184,508</u>	<u>(1,542,235)</u>
Total public safety	<u>17,193,823</u>	<u>18,642,900</u>	<u>16,229,252</u>	<u>(2,413,648)</u>
Engineering:				
Current:				
Salaries	395,465	395,465	395,854	389
Employee benefits and taxes	127,504	127,504	124,521	(2,983)
Printing	3,500	3,500	1,659	(1,841)
Licenses	3,170	3,170	2,664	(506)
Membership fees	2,010	2,010	1,160	(850)
Utilities	9,570	9,570	5,326	(4,244)
Street lights	315,000	315,000	274,475	(40,525)
Professional services	110,000	122,542	99,239	(23,303)
Repairs and maintenance	3,500	3,500	2,290	(1,210)
Other contractual services	25,000	25,000	15,192	(9,808)
Office supplies	2,000	2,000	1,891	(109)
Operating supplies	27,500	54,898	21,248	(33,650)
Gas, oil, diesel, etc.	4,250	4,250	4,113	(137)
Miscellaneous	5,645	5,645	3,045	(2,600)
Noncapital expenditures	861,000	6,929,390	1,187,690	(5,741,700)
Capital outlay	-	-	1,319,665	1,319,665
Total engineering	<u>\$ 1,895,114</u>	<u>\$ 8,003,444</u>	<u>\$ 3,460,032</u>	<u>\$ (4,543,412)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
Expenditures:				
Public works:				
Current:				
Salaries	\$ 227,624	\$ 227,624	\$ 211,826	\$ (15,798)
Employee benefits and taxes	63,534	63,534	57,663	(5,871)
Utilities	800	800	623	(177)
Repairs and maintenance	6,750	6,750	8,607	1,857
Gas, oil, diesel, etc.	7,200	7,200	7,183	(17)
Miscellaneous	80,900	86,031	13,536	(72,495)
Noncapital expenditures	100,000	324,333	59,000	(265,333)
Capital outlay	-	-	158,190	158,190
Total public works	<u>486,808</u>	<u>716,272</u>	<u>516,628</u>	<u>(199,644)</u>
Highways and streets:				
Current:				
Salaries	742,255	742,255	696,688	(45,567)
Employee benefits and taxes	298,954	298,954	256,410	(42,544)
Utilities	10,680	10,680	10,190	(490)
Physicals	1,000	1,000	1,344	344
Repairs and maintenance	164,000	166,247	135,159	(31,088)
Travel	1,000	1,000	1,083	83
Other contractual services	13,500	13,500	1,056	(12,444)
Operating supplies	2,560	2,560	3,250	690
Agricultural and horticultural supplies	6,000	6,000	3,869	(2,131)
Janitorial supplies	500	500	1,313	813
Clothing and uniforms	5,500	5,500	4,391	(1,109)
Other operating supplies	1,500	1,500	1,683	183
Gas, oil, diesel, etc.	56,000	56,000	67,039	11,039
Consumable tools	3,500	3,500	2,835	(665)
Sign parts and supplies	12,000	23,224	15,189	(8,035)
Demolition and mowing	20,000	20,000	16,454	(3,546)
Other supplies	1,500	1,500	1,378	(122)
Salt	-	20,000	-	(20,000)
Drainage material	-	-	223	223
Inmate crew	14,000	14,000	8,282	(5,718)
Miscellaneous	15,850	15,850	17,835	1,985
Noncapital expenditures	403,950	727,580	1,910	(725,670)
Capital outlay	-	-	697,536	697,536
Total highways and streets	<u>\$ 1,774,249</u>	<u>\$ 2,131,350</u>	<u>\$ 1,945,117</u>	<u>\$ (186,233)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	<u>Budgeted Amounts</u>			<u>Variance with Final Budget Over (Under)</u>
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Vehicle maintenance:				
Current:				
Salaries	\$ 261,538	\$ 261,538	\$ 246,751	\$ (14,787)
Employee benefits and taxes	91,272	91,272	79,217	(12,055)
Utilities	11,250	11,250	10,975	(275)
Repairs and maintenance	229,500	232,654	213,234	(19,420)
Operating supplies	1,500	1,500	1,555	55
Clothing and uniforms	1,400	1,400	667	(733)
Maintenance supplies	750	750	440	(310)
Gas, oil, diesel, etc.	5,500	5,500	2,914	(2,586)
Miscellaneous	3,600	3,600	402	(3,198)
Noncapital expenditures	52,000	61,622	2,186	(59,436)
Capital outlay	-	-	60,000	60,000
	<u>658,310</u>	<u>671,086</u>	<u>618,341</u>	<u>(52,745)</u>
Parks and recreation				
Civic Center:				
Current:				
Salaries	607,726	607,726	700,258	92,532
Employee benefits and taxes	132,125	132,125	120,025	(12,100)
Postage	2,100	2,100	2,142	42
Printing and publications	4,500	4,500	4,735	235
Utilities	222,800	222,800	199,021	(23,779)
Employee physicals	1,000	1,000	2,721	1,721
Repairs and maintenance	28,000	28,000	47,336	19,336
Other contractual services	100,000	100,000	94,169	(5,831)
Operating supplies	70,000	70,000	72,658	2,658
Food	50,000	50,000	69,484	19,484
Janitorial supplies	14,000	14,000	14,863	863
Miscellaneous	22,000	22,180	25,851	3,671
Noncapital expenditures	50,000	164,278	86,796	(77,482)
	<u>\$ 1,304,251</u>	<u>\$ 1,418,709</u>	<u>\$ 1,440,059</u>	<u>\$ 21,350</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

Expenditures:	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Golf course:				
Current:				
Salaries	\$ 409,831	\$ 409,831	\$ 382,437	\$ (27,394)
Employee benefits and taxes	128,713	128,713	104,558	(24,155)
Printing and publications	150	150	-	(150)
Membership fees	1,600	1,600	1,100	(500)
Utilities	40,100	40,100	33,645	(6,455)
Physicals	200	200	384	184
Repairs and maintenance	6,500	6,500	9,545	3,045
Other contractual services	25,000	47,181	49,882	2,701
Items for resale	20,000	20,000	22,855	2,855
Operating supplies	20,500	20,500	26,444	5,944
Agricultural and horticultural supplies	70,000	75,610	56,514	(19,096)
Food	35,000	35,000	29,486	(5,514)
Clothing and uniforms	2,000	2,000	3,840	1,840
Gas, oil, diesel, etc.	15,000	15,000	12,183	(2,817)
Other equipment parts	30,000	30,000	39,185	9,185
Repair parts for water/sewer lines	4,000	4,000	-	(4,000)
Beer for resale	15,000	15,000	15,795	795
Discount credit card	12,000	12,000	15,605	3,605
Miscellaneous	1,050	1,050	653	(397)
Noncapital expenditures	55,000	85,000	6,072	(78,928)
Capital outlay	-	-	54,954	54,954
	<u>891,644</u>	<u>949,435</u>	<u>865,137</u>	<u>(84,298)</u>
Parks:				
Current:				
Salaries	1,214,071	1,214,071	1,107,717	(106,354)
Employee benefits and taxes	383,880	383,880	358,126	(25,754)
Printing and publication	1,500	1,500	1,939	439
Memberships	2,000	2,000	3,234	1,234
Public relations	10,000	19,230	17,252	(1,978)
Utilities	134,200	134,200	117,903	(16,297)
Repairs and maintenance	52,000	52,000	80,706	28,706
Travel	1,500	1,500	3,822	2,322
Other contractual services	50,000	51,680	84,190	32,510
Inmate crew meals	8,000	8,000	10,321	2,321
Small equipment	9,100	9,100	9,302	202
Operating supplies	100,000	115,240	95,049	(20,191)
Agricultural and horticultural supplies	22,500	28,254	14,696	(13,558)
Food	-	-	5	5

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
Parks:				
Gas, oil, diesel, etc.	55,000	55,000	62,693	7,693
Miscellaneous	6,850	8,784	4,867	(3,917)
Noncapital expenditures	550,000	600,436	28,926	(571,510)
Capital outlay	-	-	57,193	57,193
	<u>2,600,601</u>	<u>2,684,875</u>	<u>2,057,941</u>	<u>(626,934)</u>
Total parks and recreation	<u>4,796,496</u>	<u>5,053,019</u>	<u>4,363,137</u>	<u>(689,882)</u>
Economic development agency:				
Current:				
Salaries	217,376	217,376	212,097	(5,279)
Employee benefits and taxes	71,581	71,581	63,046	(8,535)
Printing & publications	5,500	5,500	6,945	1,445
Membership fees	13,000	13,000	17,171	4,171
Public relations	33,000	33,000	33,500	500
Utilities	1,800	1,800	1,821	21
Repairs and maintenance	1,000	1,000	24	(976)
Professional services	40,000	56,170	42,136	(14,034)
Travel	6,000	6,000	7,421	1,421
Office supplies	2,000	2,000	2,185	185
Industrial Development Board	5,000	323,500	325,139	1,639
Gas, oil, diesel, etc.	1,250	1,250	557	(693)
Miscellaneous	15,600	15,600	13,368	(2,232)
Noncapital expenditures	<u>10,000</u>	<u>10,000</u>	<u>9,540</u>	<u>(460)</u>
	<u>413,107</u>	<u>747,777</u>	<u>734,950</u>	<u>(22,827)</u>
Economic Development Utility				
Current:				
Professional Services	30,000	40,461	36,819	(3,642)
Repairs and maintenance	15,000	19,364	4,361	(15,003)
Grants and donations	7,500	7,500	-	(7,500)
Noncapital expenditures	<u>22,500</u>	<u>24,961</u>	<u>15,852</u>	<u>(9,109)</u>
	<u>75,000</u>	<u>92,286</u>	<u>57,032</u>	<u>(35,254)</u>
Tourism				
Current:				
Other contractual	90,000	174,784	123,052	(51,732)
Operating supplies	5,000	5,000	-	(5,000)
Miscellaneous	<u>5,000</u>	<u>5,000</u>	<u>-</u>	<u>(5,000)</u>
	<u>100,000</u>	<u>184,784</u>	<u>123,052</u>	<u>(61,732)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
Debt service:				
Principal	1,795,000	1,795,000	1,795,000	-
Interest	808,175	808,175	808,175	-
Bond fees	1,085	1,085	600	(485)
	<u>2,604,260</u>	<u>2,604,260</u>	<u>2,603,775</u>	<u>(485)</u>
 Total expenditures	 <u>38,805,053</u>	 <u>48,220,132</u>	 <u>38,509,694</u>	 <u>(9,658,706)</u>
 Excess (deficiency) of revenues over (under) expenditures	 (2,300,760)	 (7,478,914)	 (1,495,459)	 5,931,723
 Other financing sources (uses)				
In lieu of tax payments - utility	1,647,600	1,647,600	1,610,234	(37,366)
Transfers out	<u>(765,863)</u>	<u>(765,863)</u>	<u>(765,863)</u>	<u>-</u>
Total other financing sources (uses)	<u>881,737</u>	<u>881,737</u>	<u>844,371</u>	<u>(37,366)</u>
 Net changes in fund balances	 <u>\$ (1,419,023)</u>	 <u>\$ (6,597,177)</u>	 (651,088)	 <u>\$ 5,894,357</u>
 Fund balance - beginning			17,930,282	
Prior period adjustment			<u>(433,315)</u>	
Fund balance - beginning - restated			<u>17,496,967</u>	
 Fund balance - ending			 <u>\$ 16,845,879</u>	

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF FIDUCIARY NET POSITION
PENSION TRUST FUND - ELECTRIC DEPT.
For the Fiscal Year Ended June 30, 2019

Assets

Cash and cash equivalents	\$ 310,508
Receivables:	
Employee contributions	4,595
Investment income	30,215
Investments:	
Certificates of deposit	50,012
Mutual funds	2,229,906
US government and municipal obligations	2,154,343
Corporate bonds and debentures	2,041,201
Common stocks	<u>3,836,203</u>

Total assets	<u>10,656,983</u>
---------------------	--------------------------

Liabilities

Payables:	
Trustee/Custody fees	266
Investment management fees	<u>12,482</u>

Total liabilities	<u>12,748</u>
--------------------------	----------------------

Net position restricted for pensions	<u>\$ 10,644,235</u>
---	-----------------------------

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
PENSION TRUST FUND - ELECTRIC DEPT.
For the Fiscal Year Ended June 30, 2019

Additions

Contributions:

Employees	\$ 61,115
Employer	<u>1,200,000</u>
Total contributions	<u>1,261,115</u>

Investment income:

Net appreciation in fair value of investments	443,804
Interest and dividends	<u>241,926</u>
	685,730
Less: investment fees	<u>(49,633)</u>
Net investment gain	<u>636,097</u>

Total additions	<u>1,897,212</u>
------------------------	-------------------------

Deductions

Benefit payments	<u>564,526</u>
Total deductions	<u>564,526</u>

Change in net position	<u>1,332,686</u>
-------------------------------	-------------------------

Total net position - beginning	<u>9,311,549</u>
--------------------------------	------------------

Total net position - ending	<u>\$ 10,644,235</u>
------------------------------------	-----------------------------

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The City of Gallatin, Tennessee (City), operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, cemetery maintenance, sanitation collection and disposal, recreation, water and sewer, electricity, gas, and general administrative services. As required by generally accepted accounting principles, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority, but the City's accountability for this organization does not extend beyond making the appointments. The Board of the Authority is appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Authority, and cannot impose its will upon the operations of the Authority. Accordingly, the Authority has not been included in the reporting entity.

Joint venture

The City is a participant in the Sumner County Resource Authority, a joint venture, in which it retains an ongoing financial interest. The Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Authority are available from the City Finance Director.

B. Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the activities of the primary government. For the most part, the effect of the interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of the given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2019

C. Measurement Focus, Basis of Accounting, and Financial Statements Presentation

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary and fiduciary fund financial statements. Revenues are recorded when earned and expenses recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within sixty days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, gross receipt taxes, sales taxes, grants, and interest associated with the current fiscal period are all considered to be susceptible to accrual and have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The City reports the following major governmental funds:

The general fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The general fund also includes the accounting for all solid waste revenues and expenditures.

The capital projects fund focuses on project-to-date costs for many projects within the City.

The City reports the following major proprietary funds:

The electric fund accounts for the activities of the government's electric distribution operations.

The water and sewer fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations and collection system.

The gas fund accounts for the activities of the government's gas distribution operations.

Additionally, the City reports the following fiduciary fund:

The Electric Department's pension trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity's pension plan.

The financial statements of the City are prepared in accordance with generally accepted accounting principles. The Governmental Accounting Standards Board (GASB) is the accepted standard

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

setting body for establishing governmental accounting and financial reporting principles. The more significant accounting policies of the City are described here with Note 1.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility funds and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and delivering goods in connection with the proprietary fund's principal ongoing operations. The principal operating revenues of the electric, water and sewer, and the gas funds are charges for sales to customers for sales and service. The water and sewer fund also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for the enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Liabilities, and Net Position or Equity

Deposits and Investments

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the U.S. Treasury agencies and instrumentalities, obligations guaranteed by the U.S. government or its agencies, repurchase agreements, and the state's investment pool.

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool shares.

Receivables and Payables

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2019

January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1, the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment.

Inventories and Prepaid Items

Inventories of the Water, Sewer, and Gas Funds are valued at the lower cost or market using a weighted-average flow assumption. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

Restricted Assets

The City elects to use restricted assets before unrestricted assets when the situation arises where either can be used.

Capital Assets

Capital assets, including property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$2,500 and an estimated useful life in excess of two years. All land, construction in progress, and works of art will be included. The electric, water and sewer, and gas funds use a threshold of \$500 and an estimated useful life in excess of five years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

Capital assets of the City are depreciated using the straight line method over the following useful lives:

Buildings and improvements	25 - 50 years
Transmission and distribution systems	10 - 50 years
General plant	10 - 50 years
Machinery, equipment, and rolling stock	3 - 10 years
Office furniture and equipment	3 - 10 years
Improvements other than buildings	50 years

Compensated Absences

Vacation pay is accumulated by classified full-time employees according to the following schedule:

<u>Years Service</u>	<u>Annual Vacation Leave</u>
0 - 1 years	5 days
2 - 5 years	10 days
6 - 10 years	12 days
11 - 15 years	15 days
16 - 18 years	18 days
19 or more years	21 days

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

Sick leave is accumulated at the rate of one day per month (same for the Electric fund). At retirement, an employee will be paid accumulated sick leave ranging from 20-50% based on either their age or years of service on effective date of retirement.

Long-term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then. The items that qualify for reporting as a deferred outflows of resources are unavailable and are disclosed on pages 11 and 18.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time. The items that qualify for reporting as a deferred inflows or resources are unavailable and are disclosed on pages 12, 14 and 19.

The City reports unavailable property taxes, unavailable court fines revenue, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred inflow of resources in the statement of net position as well.

Impact of other recently issued accounting pronouncements

In March 2018, the GASB issued Statement No. 88 – *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placements*, effective for financial statements for periods beginning after June 15, 2018. The primary objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. Management has implemented this statement in the current financial statements.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

In November 2016, the GASB issued Statement No. 83 – *Certain Asset Retirement Obligations*, effective for fiscal years beginning after June 15, 2018. This Statement addresses accounting and financial reporting for certain asset retirement obligations (ARO's). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in the Statement. There was no impact on the current financial statements from the implementation of this Statement.

Net position flow assumption

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Fund balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable fund balance

This classification includes amounts that are (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

Restricted fund balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Committed fund balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority, (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Assigned fund balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the general fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

simple majority vote. Upon passage of a budget ordinance where fund balance is used as a source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned fund balance

This fund balance is the residual classification for the general fund. It is also used to report negative fund balances in other governmental funds.

The City will maintain a minimum unassigned fund balance in the general fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that results in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, by increasing revenues or pursuing other funding sources, or by a combination of the two.

Fund balance flow assumptions

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned and unassigned fund balance in the governmental fund financial statements a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Net Position

Restricted net position are net position less related liabilities reported in the government-wide statement of net position that have limitation imposed on their use through constitutional provisions or enabling legislation or through external restrictions imposed by creditors, grantors, contributors, legislation, or the other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

NOTE 2 - RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

A. Explanation of Certain Differences Between the Balance Sheet of Governmental Funds and the Government-wide Statement of Net Position

The governmental fund balance sheet includes a reconciliation between fund balance – total governmental funds and net position – governmental activities as reported in the government-wide statement of net position. One element of that reconciliation explains that “receivables not available to pay for current expenditures and, therefore, are deferred in the funds.” The details of this \$481,772 difference are as follows:

Unavailable property taxes	\$ 453,217
Unavailable court fines	28,555
Net adjustment to reduce fund balances - total governmental funds to arrive at net position - governmental activities	<u><u>\$ 481,772</u></u>

B. Explanation of Certain Differences Between the Governmental Fund Statement of Revenues, Expenditures, and Changes in Fund Balances and the Government-wide Statement of Activities

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances - total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that “Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period.” The details of this \$10,376,316 difference are as follows:

Capital outlay	\$ 13,586,576
Depreciation expense	(3,210,260)
Net adjustment to reduce net changes in fund balance - total governmental funds to arrive at net position - governmental activities	<u><u>\$ 10,376,316</u></u>

NOTE 3 - STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

A. Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the general fund and special revenue funds excluding the capital projects funds. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year end, the Director of Finance and Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the Electric Fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

NOTE 4 - DETAILED NOTES ON ALL FUNDS

A. Deposits and Investments

As of June 30, 2019, the City of Gallatin, Tennessee's Electric Department had \$4,610,088 and the General fund had \$2,377,682 invested in certificates of deposit with local financial institutions. As of June 30, 2019, the cemetery trust fund had unrated stock investments with no maturity.

Interest Rate Risk

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

Custodial Credit Risk

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in Note 1. State statute required that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations and federally chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2019, all bank deposits were fully collateralized or insured.

B. Receivables

Receivables as of the year end for the government's individual major funds and nonmajor and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

	General	Capital Projects	Electric Division	Water & Sewer Division	Gas Division	Nonmajor and Other Funds	Total
Receivables:							
Property taxes	\$ 12,656,614	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 12,656,614
Interest	277,915	-	-	-	-	11,489	289,404
Accounts	284,295	43,255	7,212,438	1,643,792	869,671	207,987	10,261,438
Fines	2,076,349	-	-	-	-	-	2,076,349
Grants	325,302	2,880,642	-	-	-	-	3,205,944
Intergovernmental	2,924,666	-	-	-	-	-	2,924,666
Other	-	-	-	374	7,616	169,966	177,956
Gross receivables	18,545,141	2,923,897	7,212,438	1,644,166	877,287	389,442	31,592,371
Less: Allowance for uncollectibles	(2,314,545)	-	-	(50,250)	(13,597)	(18,614)	(2,397,006)
Net total receivable	\$ 16,230,596	\$ 2,923,897	\$ 7,212,438	\$ 1,593,916	\$ 863,690	\$ 370,828	\$ 29,195,365

Governmental funds report unavailable revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenue). At the end of the current fiscal year, various components of unavailable revenue reported in the governmental funds were as follows:

	Unavailable	Unearned
Delinquent property taxes receivable	\$ 191,974	\$ -
Interest and penalty on property taxes receivable	261,243	-
2019 property tax assessment	12,158,928	-
Other revenue collected in advance		58,573
Grants	-	6,620
Drug fund revenue held	-	90,136
Court fines	28,555	-
Total unavailable revenue for fund financial statements	\$ 12,640,700	\$ 155,329

C. Capital Assets

Capital asset activity for the year ended June 30, 2019, was as follows:

	Beginning Balance	Additions	Disposals	Transfers	Ending Balance
Governmental activities:					
Capital assets, not being depreciated:					
Land	\$ 14,353,038	\$ 9,553	\$ -	\$ -	\$ 14,362,591
Construction in progress	44,711	-	-	-	44,711
Total capital assets, not being depreciated	14,397,749	9,553	-	-	14,407,302

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

Capital assets being depreciated:					
Buildings	18,682,880	3,871,656	-	-	22,554,536
Improvements other than buildings	71,556,620	15,312,719	-	-	86,869,339
Vehicles	14,105,174	1,649,525	-	-	15,754,699
Office equipment	2,333,043	215,729	-	-	2,548,772
Equipment	4,259,966	709,094	-	(4)	4,969,056
Total capital assets being depreciated	<u>110,937,683</u>	<u>21,758,723</u>	<u>-</u>	<u>(4)</u>	<u>132,696,402</u>
Less accumulated depreciation for:					
Buildings and improvements	7,150,230	479,161	-	-	7,629,391
Improvements other than buildings	14,392,034	1,280,444	-	-	15,672,478
Vehicles	10,833,887	1,005,526	-	-	11,839,413
Office equipment	2,064,139	187,072	-	-	2,251,211
Equipment	2,987,192	258,057	-	-	3,245,249
Total accumulated depreciation	<u>37,427,482</u>	<u>3,210,260</u>	<u>-</u>	<u>-</u>	<u>40,637,742</u>
Total capital assets being depreciated, net	<u>73,510,201</u>	<u>18,548,463</u>	<u>-</u>	<u>(4)</u>	<u>92,058,660</u>
Governmental activities capital assets, net	<u>\$ 87,907,950</u>	<u>\$ 18,558,016</u>	<u>\$ -</u>	<u>\$ (4)</u>	<u>\$ 106,465,962</u>
	Beginning	Additions	Disposal	Adjustments/ Transfers	Ending
	Balance				Balance
Business-type activities:					
Capital assets, not being depreciated:					
Land	\$ 3,386,629	\$ 35,758	\$ -	\$ -	\$ 3,422,387
Construction in progress	<u>4,138,442</u>	<u>826,459</u>	<u>2,766,315</u>	<u>-</u>	<u>2,198,586</u>
Total capital assets, not being depreciated	<u>7,525,071</u>	<u>862,217</u>	<u>2,766,315</u>	<u>-</u>	<u>5,620,973</u>
Capital assets being depreciated:					
Transmission plant	780,905	-	-	-	780,905
Distribution plant	209,362,473	20,190,408	278,493	-	229,274,388
General plant	4,039,308	9,110	2,848	-	4,045,570
Buildings	43,110,257	-	-	-	43,110,257
Operating equipment	2,727,951	514,215	-	-	3,242,166
Rolling stock	3,185,475	683,918	-	-	3,869,393
Office furniture and equipment	705,930	-	-	-	705,930
Total capital assets being depreciated	<u>263,912,299</u>	<u>21,397,651</u>	<u>281,341</u>	<u>-</u>	<u>285,028,609</u>
Less accumulated depreciation for:					
Transmission plant	413,716	22,326	-	-	436,042
Distribution plant	84,336,977	4,987,579	395,934	-	88,928,622
General plant	2,456,184	180,274	2,848	-	2,633,610
Buildings	14,109,147	944,787	-	-	15,053,934
Operating equipment	2,247,809	115,330	-	1	2,363,140
Rolling stock	2,658,189	238,989	-	-	2,897,178
Office furniture and equipment	623,835	20,833	-	1	644,669
Total accumulated depreciation	<u>106,845,857</u>	<u>6,510,118</u>	<u>398,782</u>	<u>2</u>	<u>112,957,195</u>
Total capital assets being depreciated, net	<u>157,066,442</u>	<u>14,887,533</u>	<u>(117,441)</u>	<u>(2)</u>	<u>172,071,414</u>
Business-type activities capital assets, net	<u>\$ 164,591,513</u>	<u>\$ 15,749,750</u>	<u>\$ 2,648,874</u>	<u>\$ (2)</u>	<u>\$ 177,692,387</u>
Total capital assets, net	<u>\$ 252,499,463</u>	<u>\$ 34,307,762</u>	<u>\$ 2,648,874</u>	<u>\$ (2)</u>	<u>\$ 284,158,349</u>

Included in the additions for the governmental activities are \$8,181,700 in donated infrastructure from developers.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2019

Acquisition adjustments – Acquisition adjustments represent the excess of purchase prices over depreciated cost of additions to the electric plant acquired from others. The acquisition adjustments are being amortized against income on a straight line basis as determined by the Tennessee Valley Authority. The total cost was \$2,355,534 with current year amortization of \$63,537 and total accumulated amortization of \$2,266,897 for an ending balance of \$88,637.

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental activities:	
General government	\$ 1,525,319
Public safety	759,298
Environmental services	173,022
Highways and streets	354,409
Parks and recreation	398,212
Total depreciation expense - governmental activities	<u>\$ 3,210,260</u>
Business-type activities:	
Electric	\$ 1,798,000
Water and sewer	3,481,919
Gas	1,135,412
Electric charged to other accounts	94,787
Total depreciation expense - business-type activities	<u>\$ 6,510,118</u>

D. Interfund Receivables, Payables, and Transfers

The only interfund receivable in the current year was between the general fund and the environmental services fund related to a recycling grant for \$45,000 that was received near year-end. These funds were transferred from the environmental services fund to the general fund in the 2020 fiscal year. The following is a summary of transfers during the year ended June 30, 2019:

<u>Transfers From</u>	<u>Transfers To</u>	<u>Amount</u>
General Fund	Stormwater	\$ 350,000
General Fund	Capital Projects	415,863
Water and Sewer Fund	General Fund	437,702
Gas Fund	General Fund	337,931
Electric Fund	General Fund	834,601
Total		2,376,097
Governmental fund activities eliminated		(765,863)
Total government-wide		<u>\$ 1,610,234</u>

The purposes of the transfers are noted below:

- The transfer between the general fund and the capital projects fund was related to the Albert Gallatin project that was general fund-related, but the project is being run through the capital projects fund, so a transfer was made.
- The transfers between the proprietary funds and the general fund are for the purpose of transferring in lieu of tax payments
- The transfer between the general fund and the stormwater fund was related to a budgeted transfer to subsidize the operations of Stormwater in its initial year of operations.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

E. Long-term Debt

General long-term debt at June 30, 2019, is comprised of the following:

Bonds Payable

General Obligation Improvement Bonds, Series 2014, due in annual installments from \$375,000 to \$1,090,000 through January 2034, interest at 2.00% to 5.00%	11,240,000
General Obligation Bonds, Series 2016, due in annual installments from \$430,000 to \$700,000 through January 2036, interest at 2.00% to 5.00%	<u>9,665,000</u>
Total bonds payable	<u>20,905,000</u>
Total general long-term debt	<u>\$ 20,905,000</u>

The aforementioned bonds and notes are secured by the full faith and credit of the City. During 2019, debt service for the aforementioned debt was provided by the City General Fund.

Long-term debt of the proprietary funds at June 30, 2019, is comprised of the following:

TVA Winterization Contracts

Loans from TVA for home weatherization loans made by the Electric Department to customers, paid annually over a 10 year period, at interest of 6.0% to 8.0%	70,235
---	--------

Bonds Payable

Water and Sewer Revenue Bonds, Series 2015, due in annual installments from \$500,000 to \$1,825,000 through January 2040, interest at 3.00% to 5.00%	21,510,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from \$265,000 to \$570,000 through August 2030, interest at 2.00% to 5.00%	3,500,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from \$25,000 to \$635,000 through July 2032, interest at 2.00% to 3.625%	7,215,000
Gas Revenue Bonds, Series 2019, due in annual installments from \$190,000 to \$380,000 through January 2039, interest at 3.00% to 5.00%	<u>5,570,000</u>
Total proprietary long-term debt	<u>\$ 37,865,235</u>

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

The aforementioned notes are secured by the full faith and credit of the City. During 2019, debt service for the aforementioned debt was provided solely by the City's Proprietary Funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding except accrued annual leave, OPEB liability, and Net Pension Liability at June 30, 2019, are as follows:

Year Ending June 30,	Electric Department					
	Notes		Bonds		Total	
	Principal	Interest	Principal	Interest	Principal	Interest
2020	28,830	4,713	\$ 3,370,000	\$ 2,156,972	\$ 3,398,830	\$ 2,161,685
2021	16,840	2,432	3,410,000	2,094,474	3,426,840	2,096,906
2022	9,384	1,272	3,495,000	1,996,648	3,504,384	1,997,920
2023	9,030	516	3,595,000	1,860,499	3,604,030	1,861,015
2024	6,151	189	3,730,000	1,728,798	3,736,151	1,728,987
2025-2029	-	-	19,340,000	6,326,889	19,340,000	6,326,889
2030-2034	-	-	16,965,000	2,660,092	16,965,000	2,660,092
2035-2039	-	-	4,495,000	470,915	4,495,000	470,915
2040	-	-	300,000	10,875	300,000	10,875
	<u>\$ 70,235</u>	<u>\$ 9,122</u>	<u>\$ 58,700,000</u>	<u>\$ 19,306,162</u>	<u>\$ 58,770,235</u>	<u>\$ 19,315,284</u>

Debt expense associated with the above bond issues was recorded as other assets and is being amortized on a straight-line basis over the life of the issue.

All significant debt covenants and restrictions as set forth in the bond agreements were complied with.

Long-term liability activity for the year ended June 30, 2019, was as follows:

	Beginning Balance	Additions	Retirements	Ending Balance	Due Within One Year
Governmental activities:					
Notes payable	\$ 549,745	\$ -	\$ 549,745	\$ -	\$ -
General obligation bonds	22,240,000	-	1,335,000	20,905,000	1,355,000
Premium on bond issue	1,781,518	-	113,386	1,668,132	113,386
Compensated absences	1,475,740	48,725	-	1,524,465	100,000
	<u>\$ 26,047,003</u>	<u>\$ 48,725</u>	<u>\$ 1,998,131</u>	<u>\$ 24,097,597</u>	<u>\$ 1,568,386</u>
Business-type activities:					
TVA winterization contracts	\$ 117,448	\$ -	\$ 47,213	\$ 70,235	\$ 28,830
Revenue and tax bonds	33,955,000	5,570,000	1,730,000	37,795,000	2,015,000
Premium on bond issue	3,183,007	425,190	173,626	3,434,571	193,873
Compensated absences	771,752	8,524	-	780,276	164,469
	<u>\$ 38,027,207</u>	<u>\$ 6,003,714</u>	<u>\$ 1,950,839</u>	<u>\$ 42,080,082</u>	<u>\$ 2,402,172</u>

Within the City's governmental activities, compensated absences are generally liquidated by the general fund.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

The bonds payable for all systems contain provisions that in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

There are no unused lines of credit for any of the systems at June 30, 2019.

Industrial Development Bonds

The City, through its Industrial Development Board, has in the past authorized issuance of various Industrial Revenue Bonds to provide financial assistance to private sector entities for the acquisition of industrial and commercial facilities deemed to be in the public interest. The bonds are secured by the property financed and payable solely from payments received on the underlying mortgage loans. Neither the City, State, nor any political subdivision thereof is obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements.

Advance Refunding of Bonds

In August 2014 the City issued \$5.46 million in Water and Sewer Revenue Refunding and Improvement Bonds with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including a \$44,654 premium and \$12,704 in issuance costs were used to advance refund \$870 thousand of outstanding Water and Sewer Revenue and Tax bonds Series 2004 with an interest rates ranging from 3.375% to 3.50%. \$874,336 of the net proceeds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds has been removed from the financial statements. This refunding decreases total debt service payments over the next 3 years by an estimated \$33 thousand resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$32 thousand.

In August 2014 the City issued \$14.185 million in General Obligation Refunding and Improvement Bond with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including an \$884,045 premium and \$157,253 in issuance costs were used to advance refund \$5.595 of the \$6.47 million of outstanding General Obligation Public Improvement bonds Series 2007 with interest rates ranging from 3.57% to 5.00%. \$6,098,495 of the net proceeds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds have been removed from the financial statements. This refunding decreases total debt service payments over the next 12 years by an estimated \$284 thousand resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$249 thousand.

In May 2015 the City issued \$25.00 million in Water and Sewer Revenue Refunding Bonds with interest rates ranging from 3.00% to 5.00%. A portion of the proceeds, including a \$2,216,189 premium and \$175,930 in issuance costs were used to advance refund \$22.56 million of outstanding Water and Sewer Revenue and Tax bonds Series 2008 with interest rates ranging from 3.50% to 5.00%. \$22.48 million of the net proceeds plus \$2.68 million of debt service reserve funds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds have

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2019

been removed from the financial statements. This refunding decreases total debt service payments over the next 12 years by an estimated \$2.15 million resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$1.28 million.

In prior years the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirement on the retired bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2019, outstanding bonds considered as defeased were as follows:

General Obligation Public Improvement Bonds – Series 2007	\$ 5,130,000
Water and Sewer Revenue and Tax Bonds – Series 2008	\$20,010,000

NOTE 5 - OTHER INFORMATION

A. Risk Management

City of Gallatin

The City is exposed to various risks of losses related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverage. The City joined the Tennessee Municipal League Risk Pool (Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claim history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

Gallatin Department of Electricity

Gallatin Electric Department is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. During the year ended June 30, 2019, the Utility purchased commercial insurance for all of the above risks. Settled claims have not exceeded this commercial coverage in any of the past three years and there has been no significant reduction in the amount of coverage.

B. Commitments

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at costs based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

The City has entered into an agreement with the Sumner County Resource Authority (the Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that in the event the Authority's revenues are insufficient to cover the costs of operation and debt retirement the County and Cities shall pay such deficit in the proportions of 3/7,

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

2/7, and 2/7, respectively. These same entities have executed a “contract in Lieu of Performance Bond” with the State of Tennessee for financial assurance of the closure and post closure costs of the landfill should the Authority be unable to do so.

The authority operates primarily as a solid waste transfer station. The City utilizes the Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is uncertainty as to the future operations of the Authority, as well as, the costs relative to the change in operations, or possible dissolution.

The Authority as of June 30, 2019, which is the latest available financial statement date, has net investment in capital assets in the amount of \$2,340,649 and an unrestricted net position of \$256,569 as compared to \$1,427,381 and (\$147,602) for the year 2018. During 2018, the City provided deficit funding in the amount of \$0 and paid the Resource Authority \$608,689 in tipping fees for solid waste.

C. Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; although, the City’s management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, although, legal counsel does not expect any possible liability to exceed the City’s limits of insurance.

D. Power Contract

The Utility has a power contract with the Tennessee Valley Authority (TVA); whereby, the electric system purchases all its electric power from TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishings, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the county and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

E. Employee Retirement Systems and Pension Plans

City of Gallatin

TCRS Hybrid Plan
Plan description.

Employees of the City of Gallatin are provided a defined benefit pension hybrid plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated, Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

Benefits provided. Tennessee Code Annotated Title 8, Chapters 34-37 establishes the benefit terms and can be amended only by the Tennessee General Assembly. Members of the TCRS Hybrid Retirement Plan are eligible to retire at age 65 with 5 years of service credit or pursuant to the rule of 90 in which the member's age and service credit total 90. Members are entitled to receive unreduced service retirement benefits, which are determined by a formula using the member's highest five consecutive year average compensation and the member's years of service credit. Service related disability benefits are provided regardless of length of service. Five years of service is required for non-service related disability eligibility. The service related and non-service related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria. Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year.

The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent and one percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest. Under the TCRS Hybrid Retirement Plan, benefit terms and conditions, including COLA, can be adjusted on a prospective basis. Moreover, there are defined cost controls and unfunded liability controls that provide for the adjustment of benefit terms and conditions on an automatic basis.

Contributions. Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5 percent of salary. The Local Government Agencies (LEAs) make employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. Per the statutory provisions governing the TCRS, the employer contribution rate cannot be less than 4 percent, except for in years when the maximum funded level, approved by the TCRS Board of Trustees, is reached. By law, employer contributions for the Teacher Retirement Plan are required to be paid. The TCRS may intercept the state shared taxes of the sponsoring governmental entity of the LEA if the required employer contributions are not remitted. Employer contributions for the year ended June 30, 2019 to the TCRS Hybrid Retirement Plan were \$269,947, which is 9 percent of covered payroll. The employer rate, when combined with member contributions, is expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension liabilities. Since the measurement date is June 30, 2018, which is prior to the July 1, 2018 inception of the TCRS Hybrid Retirement Plan, there is not a net pension liability to report at June 30, 2019.

Pension Expense. Since the measurement date is June 30, 2018, City of Gallatin did not recognize a pension expense at June 30, 2019.

Deferred outflows of resources and deferred inflows of resources. For the year ended June 30, 2019, the City of Gallatin reported deferred outflows of resources related to pensions from the following sources:

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

	Deferred Outflow of Resources	Deferred Inflow of Resources
Contributions made subsequent to the measurement date of June 30, 2018	269,947	-
	<u>\$ 269,947</u>	<u>\$ -</u>

City of Gallatin's employer contributions of \$269,947 reported as pension related deferred outflows of resources, subsequent to the measurement date, will be recognized as a reduction in net pension liability in the year ended June 30, 2019.

401k Plan

Plan description

The City (exclusive of the electric utility) participates in the State of Tennessee 401k plan (the plan) with a Roth option. Employees of the City's Municipal Service departments, Water and Sewer Utility Fund, and Natural Gas Utility Fund are eligible to participate in the Plan. The Plan assets are not held by the City and the City does not exercise a trustee responsibility over such assets nor does the City actively participate in the Plan's management or administration, which is delegated to the City of Gallatin Pension Committee. The Pension Committee has designated Retire Ready TN as a third-party administrator. Accordingly, the City does not meet the criteria necessary for presentation of the Plan as a fiduciary fund of the City.

Funding policy

The City's Plan allows employees to make tax deferred contributions into self-directed investments of as much as allowable under the Internal Revenue Code. During the fiscal year, the City contributed 5% of the employee's annual compensation and matched up to an additional 4% of the employee's contribution. Employees are not eligible to participate until after one year of employment. The vesting of employer contributions increases from 20% in year 1, with 20% annual increases until contributions are 100% vested after 5 years in the plan. If an employee leaves employment before the vesting period is complete, the forfeiture is put into a forfeiture account that can be used to pay expenses related to the plan. The City had no forfeitures in 2019. At calendar year-end, any unused forfeitures are distributed pro-rata to the other members of the plan.

Annual pension cost

The City's maximum contribution to the Plan is defined as up to 9% of an eligible employee's annual compensation. The City contributed \$1,477,938 on behalf of the employees during calendar year 2019.

Gallatin Department of Electricity

Plan description

The Gallatin Department of Electricity Employee's Pension Plan is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective 3/1/2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

CITY OF GALLATIN, TENNESSEE

NOTES TO FINANCIAL STATEMENTS

June 30, 2019

Plan membership

At June 30, 2018 the plan membership consisted of:

Inactive employees or beneficiaries currently receiving benefits	16
Inactive employees entitled to but not yet receiving benefits	3
Active employees	27
	46

Funding policy

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The current rate is 20.30% of annual covered payroll. The Department contributed \$1,200,000 and \$800,000 for years ended June 30, 2019 and 2018 respectively.

Net Pension Liability

The Electric Department's net pension liability was measured as of June 30, 2018, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date.

Actuarial assumptions

The actuarial assumptions used to determine the net pension liability as of June 30, 2018 were as follows:

Social Security Wage Base Increase	2.50 percent per year
Salary Increases	4.00 percent per year
Investment rate of return	7.00 percent, compounded annually
Cost of Living	1.50 percent per year of orig. benefit amount

Mortality rates were based on the SOA RP-2014 Total Data Set with projection MP-2016.

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
B/C Intrm US Govt/Cr Index	Up to 60%	4.90%
S&P 500 Index	Up to 40%	7.00%

Discount Rate

The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that GDE contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

<u>Changes in Net Pension Liability</u>			
		Increase (Decrease)	
	Total Pension Liability (TPL)	Plan Fiduciary Net Position	Net Pension Liability (NPL)
	(a)	(b)	(a) - (b)
Balances of 6/30/17	\$ 9,932,088	\$ 8,375,525	\$ 1,556,563
Changes for the year:			
Service Cost	185,023	-	185,023
Interest	691,268	-	691,268
Difference in expected & actual experience	115,214	-	115,214
Contributions - Employer	-	800,000	(800,000)
Contributions - Employee	-	62,396	(62,396)
Net Investment Income	-	610,972	(610,972)
Benefit payments	(492,024)	(492,024)	-
Administrative expense	-	(45,320)	45,320
Net Changes	<u>499,481</u>	<u>936,024</u>	<u>(436,543)</u>
Balances as of 6/30/18	<u>\$ 10,431,569</u>	<u>\$ 9,311,549</u>	<u>\$ 1,120,020</u>

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of GDE, calculated using the discount rate of 7.0 percent, as well as what GDE's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) of 1-percentage-point higher (8.0 percent) than the current rate:

	1% Decrease	Current Rate	1% Increase
Interest Rate	6.00%	7.00%	8.00%
Total Pension Liability	\$ 11,840,903	\$ 10,431,569	\$ 9,248,828
Plan Fiduciary Net Position	9,311,549	9,311,549	9,311,549
Net Pension Liability	2,529,354	1,120,020	(62,721)

<u>Pension Expense</u>	
<u>Components of Pension Expense</u>	2018
Service Cost	\$ 185,023
Interest on TPL	691,268
Difference between Expected & Actual Experience	(22,161)
Change of Assumptions	18,207
Employee Contributions	(62,396)
Projected Earnings on Assets	(597,471)
Difference between Expected & Actual Earnings	51,836
Pension Plan administrative expense	45,318
Total Expense	<u>\$ 309,624</u>

The total expense represents the amount of pension expense recognized in the FY 2019 financial statements.

Deferred Outflow of Resources and Deferred Inflow of Resources

For the year ended June 30, 2019, the Department reported balances in deferred outflow of resources and deferred inflow of resources related to pension from the following sources:

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 110,343	\$ 211,645
Change of assumptions	570,084	271,703
Difference between expected and actual earnings on pension plan investments	87,390	-
Totals to be amortized	767,817	483,348
Contributions made subsequent to the measurement date	1,200,000	-
	<u><u>\$ 1,967,817</u></u>	<u><u>\$ 483,348</u></u>

Amount reported as deferred outflow of resources and deferred inflow of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2020	\$ 90,952
2021	22,766
2022	(35,487)
2023	(6,655)
2024	52,488
Thereafter	160,405

F. Other Post Employment Benefits

Gallatin Department of Electricity

Plan Description

The Electric Fund Post Retirement Medical Plan ("PRMP is a single employer defined benefit plan administered by the department). The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to \$150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend this benefit provision is assigned to the Gallatin Electric Power Board. The PRMP issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 1-615-452-5152.

Plan membership

At June 30, 2018 the plan membership consisted of:

Inactive employees receiving benefits	13
Active employees	27
	<u>40</u>

Total OPEB Liability

The Electric Department's total OPEB liability of \$472,427 was measured as of June 30, 2018 by applying projections to roll forward the actuarial valuation dated July 1, 2018.

CITY OF GALLATIN, TENNESSEE

NOTES TO FINANCIAL STATEMENTS

June 30, 2019

Actuarial assumptions and other inputs

The total OPEB liability in the July 1, 2018 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.0 percent per year
Salary increases	2.5 percent per year
Discount rate	3.87 percent, as of June 30, 2018
Healthcare cost trend rates	None assumed
Participation rate	100 percent assumed

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RP-2014 fully generational mortality table for males and females, with improvement scale MP-2016.

Changes in Total OPEB Liability

	Total OPEB Liability
Balances of 6/30/17	<u>\$ 472,634</u>
Changes for the year:	
Service Cost	7,587
Interest	16,911
Difference in expected & actual experience	7,940
Benefit payments	(16,731)
Change of assumptions	(15,914)
Net Changes	<u>(207)</u>
Balances as of 6/30/18	<u>\$ 472,427</u>

Changes of assumptions and other inputs reflect a change in the discount rate from 3.58% as of June 30, 2017 to 3.87% as of June 30, 2018.

Sensitivity of the Total OPEB Liability to changes in the Discount Rate

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (2.87 percent) or one percentage point higher (4.87 percent) than the current discount rate:

Sensitivity of Total OPEB Liability to Changes in the Discount Rate at June 30, 2018			
	1% Decrease	Current Rate	1% Increase
Interest Rate	2.87%	3.87%	4.87%
Total OPEB Liability	\$ 536,551	\$ 472,427	\$ 419,398

OPEB Expense and Deferred Outflows and Deferred Inflows of Resources

For the year ended June 30, 2018, the Department had OPEB expense of \$18,093. At June 30, 2018, the Department had deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2019

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 9,611	\$ -
Change of assumptions	-	49,831
Totals to be amortized	9,611	49,831
Contributions made subsequent to the measurement date	15,783	-
	<u><u>\$ 25,394</u></u>	<u><u>\$ 49,831</u></u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2020	\$ (6,405)
2021	(6,405)
2022	(6,405)
2023	(6,405)
2024	(6,405)
Thereafter	(8,195)

G. Defined Contribution Plan

Gallatin Department of Electricity

Plan Description

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a ROTH option effective March 1, 2016. The Plan will be administered by the Treasurer for the State of Tennessee which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees hired after March 1, 2016 and will also be available to those employees hired before March 1, 2016 on a voluntary basis.

Funding Policy

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after March 1, 2016, the Department will match 200% of Participant elective deferrals of up to 5% of Compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

- 20% after one year of service
- 40% after two years of service
- 60% after three years of service
- 80% after four years of service
- 100% after five years of service

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset plan expenses. As of June 30, 2018, there have been no forfeitures. For employees hired before March 1, 2016, they can make elective deferrals into the plan with no matching contribution from the Department.

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2019

Annual Cost

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed \$32,876 on behalf of the eligible employees during the fiscal year ended June 30, 2019. There were no outstanding contributions at June 30, 2019.

H. Prior Period Adjustment

As of June 30, 2019, a prior period adjustment was made in the Water & Sewer and Gas fund's accounts receivable. There were \$872,508 in additions added to accounts receivable added to the Water & Sewer fund and \$788,492 removed from accounts receivable in the Gas Fund. These were largely reclassifications from one fund to the other due to the same billing system keeping up with both funds' accounts receivable balances. There were also prior period adjustments in the general fund of (\$433,315) and capital projects fund (\$362,948) to remove prepaid grant expense and wholesale liquor tax receivable that were previously recorded.

REQUIRED SUPPLEMENTARY INFORMATION

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN THE PLAN'S NET PENSION LIABILITY
AND RELATED RATIOS - ELECTRIC DEPARTMENT
June 30, 2019

Total Pension Liability	2018	2017	2016	2015	2014
Service Cost	\$ 185,023	\$ 177,907	\$ 165,004	\$ 160,612	\$ 136,831
Interest	691,268	685,170	659,028	652,294	559,812
Changes of benefit terms	-	-	-	-	-
Differences between expected & actual experience	115,214	(295,965)	-	-	22,888
Changes of assumptions	-	-	(468,590)	-	989,264
Benefit payments / refunds	(492,024)	(482,369)	(445,233)	(403,705)	(496,184)
Net change in Total Pension Liability	499,481	84,743	(89,791)	409,201	1,212,611
Total Pension Liability - beginning	9,932,088	9,847,345	9,937,136	9,527,935	8,315,324
Total Pension Liability - ending (a)	\$ 10,431,569	\$ 9,932,088	\$ 9,847,345	\$ 9,937,136	\$ 9,527,935
Plan Fiduciary Net Position					
Contributions - Employer	\$ 800,000	\$ 1,040,000	\$ 666,994	\$ 385,256	\$ 257,050
Contributions - Member	62,396	62,487	65,855	61,065	57,685
Net investment income	610,970	663,332	185,887	118,499	644,573
Benefit payments / refunds	(492,024)	(482,369)	(445,233)	(403,705)	(496,184)
Administrative expense	(45,318)	(39,030)	(34,134)	(32,684)	(31,671)
Other	-	-	-	-	-
Net change in fiduciary net position	936,024	1,244,420	439,369	128,431	431,453
Plan fiduciary net position - beginning	8,375,525	7,131,105	6,691,736	6,563,305	6,131,853
Plan fiduciary net position - ending (b)	\$ 9,311,549	\$ 8,375,525	\$ 7,131,105	\$ 6,691,736	\$ 6,563,306
Plan's net pension liability - ending (a) - (b)	\$ 1,120,020	\$ 1,556,563	\$ 2,716,240	\$ 3,245,400	\$ 2,964,629
Plan's fiduciary net position as a percentage of the total pension liability	89.26%	84.33%	72.42%	67.34%	68.88%
Covered-employee payroll	\$ 1,958,148	\$ 2,043,550	\$ 2,030,845	\$ 1,952,736	\$ 1,934,194
Plan's net pension liability as a percentage of covered-employee payroll	57.20%	76.17%	133.75%	166.20%	153.27%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule3 is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CONTRIBUTIONS
LAST TEN FISCAL YEARS
ELECTRIC DEPARTMENT
June 30, 2018

	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Actuarially determined contributions	\$ 417,159	\$ 417,159	\$ 417,159	\$ 385,256	\$ 385,256	\$ 257,050	\$ 272,060	\$ 276,205	\$ 269,919	\$ 265,701
Contributions in relation to actuarially determined contribution	1,200,000	800,000	1,040,000	666,994	385,256	257,050	272,060	276,205	269,919	265,701
Contribution deficiency (excess)	(782,841)	(382,841)	(622,841)	(281,738)	-	-	-	-	-	-
Covered-employee payroll	2,085,475	1,958,148	2,043,550	2,030,845	1,952,736	1,960,720	1,968,593	1,998,592	1,953,105	1,922,583
Contributions as a percentage of covered payroll	57.54%	40.85%	50.89%	32.84%	19.73%	13.11%	13.82%	13.82%	13.82%	13.82%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Notes to Schedule

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal Level Dollar % of Salary
Amortization method	The amortization policy shall be that the UAAL, as of July 1, 2014 and any changes thereafter as a result of change in assumptions or methods or benefit or plan changes, shall be amortized over a fixed period of 30 years beginning July 1, 2014. The amortization period for experience gains and losses shall be 10 years from the date of the actuarial valuation.
Asset valuation method	Market Value of Assets
Inflation	2.00%
Salary increases	4.00%
Investment rate of return	7.00%
Retirement age	65
Mortality	SOA RP-2014 Total Dataset Adjusted to 2006 with Scale MP-2018

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN THE TOTAL OPEB LIABILITY AND RELATED RATIOS -
ELECTRIC
June 30, 2019

	2018	2017
Total OPEB liability		
Service cost	\$ 7,587	\$ 9,220
Interest	16,911	14,641
Changes of benefit terms	-	-
Differences between expected and actual experience	7,940	3,563
Changes of assumptions or other inputs	(16,731)	(46,674)
Benefit payments	<u>(15,914)</u>	<u>(25,113)</u>
Net change in total OPEB liability	<u>(207)</u>	<u>(44,363)</u>
Total OPEB liability - beginning	<u>472,634</u>	<u>516,997</u>
Total OPEB liability - ending	<u><u>\$ 472,427</u></u>	<u><u>\$ 472,634</u></u>

Notes to Schedule:

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2016	2.85%
2017	3.58%
2018	3.87%

See independent auditor's report.

**CITY OF GALLATIN
TCRS HYBRID EMPLOYEES PENSION PLAN
SCHEDULE OF EMPLOYER CONTRIBUTIONS
Last Ten Fiscal Years ***

	<u>2019</u>
Actuarially determined contributions	\$ 269,947
Contributions in relation to actuarially determined contribution	<u>269,947</u>
Contribution deficiency (excess)	<u><u>-</u></u>
Covered-employee payroll	2,999,411
Contributions as a percentage of covered payroll	9.00%

* Only one year is available from actuarial valuation.

See independent auditor's report.

SUPPLEMENTARY AND OTHER INFORMATION SECTION

NONMAJOR GOVERNMENTAL FUNDS

SPECIAL REVENUE FUNDS:

Special Revenue Funds account for specific revenues that are legally restricted to expenditure purposes. The Special Revenue Funds are:

Special Services Fund - To account for sex offender registry payments that are used for specific purposes and private donations to be used for the "Shop with a Cop" Christmas program.

Drug Fund - To account for the resources used for the operation of drug enforcement activities by the City.

Environmental Services Fund - To account for the resources used for the garbage collection activities by the City.

Stormwater Fund – To account for the stormwater fee that is to be used for stormwater maintenance and repairs throughout the City

INDUSTRIAL DEVELOPMENT BOARD

The Industrial Development Board is used to account for economic development activity in the City.

PERMANENT FUNDS:

Permanent Funds account for specific revenues for which the corpus of the donation are restricted by external donors. The Permanent Funds are:

Thomas Witherspoon Fund - To account for a donation that was received to make loans to graduating seniors to be used for college.

Cemetery Trust Fund - To account for donations that were received to maintain the cemetery in perpetuity.

CITY OF GALLATIN, TENNESSEE
COMBINING BALANCE SHEET
OTHER GOVERNMENTAL FUNDS
June 30, 2019

	Special Revenue Funds				Industrial	Permanent Funds		
	Special Services	Drug	Environmental Services	Stormwater	Development Board	Thomas Witherspoon	Cemetery Trust	Totals
Assets								
Cash and cash equivalents	\$ 2,829,539	\$ 82,027	\$ 629,218	\$ 117,564	\$ 148,010	\$ 260,008	\$ 12,026	\$ 4,078,392
Investments	-	-	-	-	-	-	21,025	21,025
Receivables:								
Accounts	-	-	150,734	57,253	-	-	-	207,987
Interest	-	-	-	-	-	11,360	129	11,489
Other	-	-	-	-	-	151,352	-	151,352
Inventory	-	-	4,738	-	-	-	-	4,738
Total assets	\$ 2,829,539	\$ 82,027	\$ 784,690	\$ 174,817	\$ 148,010	\$ 422,720	\$ 33,180	\$ 4,474,983
Liabilities, deferred inflows of resources, and fund balances								
Liabilities								
Accounts payable	\$ 600	\$ 2,199	\$ 165,181	\$ 91,117	\$ -	\$ -	\$ -	\$ 259,097
Due to other funds	-	-	45,000	-	-	-	-	45,000
Unearned evidence funds	90,136	-	-	-	-	-	-	90,136
Performance deposits	2,730,274	-	-	-	-	-	-	2,730,274
Total liabilities	2,821,010	2,199	210,181	91,117	-	-	-	3,124,507
Fund balances								
Nonspendable:								
Funds held in trust	-	-	-	-	-	15,000	21,025	36,025
Inventory	-	-	4,738	-	-	-	-	4,738
Restricted:								
Funds held in trust	-	-	-	-	-	407,720	-	407,720
Environmental services	-	-	569,771	-	-	-	-	569,771
Economic development	-	-	-	-	148,010	-	-	148,010
Drug enforcement	-	79,828	-	-	-	-	-	79,828
Stormwater	-	-	-	83,700	-	-	-	83,700
Assigned for:								
Police special projects	8,529	-	-	-	-	-	-	8,529
Cemetery use	-	-	-	-	-	-	12,155	12,155
Total fund balances	8,529	79,828	574,509	83,700	148,010	422,720	33,180	1,350,476
Total liabilities, deferred inflows of resources, and fund balances	\$ 2,829,539	\$ 82,027	\$ 784,690	\$ 174,817	\$ 148,010	\$ 422,720	\$ 33,180	\$ 4,474,983

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
OTHER GOVERNMENTAL FUNDS
For the Fiscal Year Ended June 30, 2019

	Special Revenue Funds				Industrial	Permanent Funds		
	Special Services	Drug	Environmental Services	Stormwater	Development Board	Thomas Witherspoon	Cemetery Trust	Totals
Revenues								
Charges for services	\$ -	\$ -	\$ 2,093,861	\$ 887,109	\$ -	\$ -	\$ -	\$ 2,980,970
Fines and forfeitures	3,450	137,836	-	-	-	-	-	141,286
Other	23,954	15,266	63,975	-	65,407	11,332	5,448	185,382
Total revenues	27,404	153,102	2,157,836	887,109	65,407	11,332	5,448	3,307,638
Expenditures								
Current								
General government	-	-	-	798,031	-	-	-	798,031
Public safety	31,789	33,058	-	-	-	-	-	64,847
Environmental services	-	-	1,993,528	-	-	-	-	1,993,528
Economic development	-	-	-	-	21,684	-	-	21,684
Repair and maintenance	-	-	-	-	-	-	1,100	1,100
Capital outlay	-	57,500	453,000	355,378	-	-	-	865,878
Total expenditures	31,789	90,558	2,446,528	1,153,409	21,684	-	1,100	3,745,068
Excess (deficiency) of revenues over (under) expenditures	(4,385)	62,544	(288,692)	(266,300)	43,723	11,332	4,348	(437,430)
Other financing sources (uses)								
Transfers to/from other funds	-	-	-	350,000	-	-	-	350,000
Total other financing sources (uses)	-	-	-	350,000	-	-	-	350,000
Net changes in fund balances	(4,385)	62,544	(288,692)	83,700	43,723	11,332	4,348	(87,430)
Fund balance - beginning	12,914	17,284	863,201	-	104,287	411,388	28,832	1,437,906
Fund balance - ending	\$ 8,529	\$ 79,828	\$ 574,509	\$ 83,700	\$ 148,010	\$ 422,720	\$ 33,180	\$ 1,350,476

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SPECIAL SERVICES FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines and forfeitures:				
Sex offender registry	\$ 5,000	\$ 5,000	\$ 3,450	\$ (1,550)
Other:				
Donations	20,000	20,000	23,938	3,938
Interest	-	-	16	16
Total revenues	<u>25,000</u>	<u>25,000</u>	<u>27,404</u>	<u>2,404</u>
Expenditures				
Public safety:				
Police:				
Current:				
Office supplies	5,000	5,000	1,586	(3,414)
Grants and donations	<u>20,000</u>	<u>28,405</u>	<u>30,203</u>	<u>1,798</u>
Total expenditures	<u>25,000</u>	<u>33,405</u>	<u>31,789</u>	<u>(1,616)</u>
Net changes in fund balance	\$ -	\$ (8,405)	(4,385)	\$ 4,020
Fund balance - beginning			<u>12,914</u>	
Fund balance - ending			<u><u>\$ 8,529</u></u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
DRUG FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines and forfeitures	\$ 108,000	\$ 112,500	\$ 137,836	\$ 25,336
Interest	-	-	3	3
Contributions	-	-	250	250
Sale of equipment	-	-	15,013	15,013
Total revenues	<u>108,000</u>	<u>112,500</u>	<u>153,102</u>	<u>40,602</u>
Expenditures				
Public safety:				
Police:				
Current:				
Supplies	22,000	26,500	29,258	2,758
Noncapital expenditures	86,000	86,000	3,800	(82,200)
Capital Outlay	-	-	57,500	57,500
Total expenditures	<u>108,000</u>	<u>112,500</u>	<u>90,558</u>	<u>(21,942)</u>
Net changes in fund balance	\$ -	\$ -	62,544	\$ 62,544
Fund balance - beginning			<u>17,284</u>	
Fund balance - ending			<u>\$ 79,828</u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
ENVIRONMENTAL SERVICES FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2019

	<u>Budgeted Amounts</u>		<u>Actual</u>	<u>Variance with Final Budget Over (Under)</u>
	<u>Original</u>	<u>Final</u>		
Revenues				
Charges for services	\$ 2,060,000	\$ 2,060,000	\$ 2,093,861	\$ 33,861
Other:				
Sale of supplies	60,000	60,000	57,924	(2,076)
Miscellaneous	-	-	6,051	6,051
Total revenues	<u>2,120,000</u>	<u>2,120,000</u>	<u>2,157,836</u>	<u>37,836</u>
Expenditures				
Environmental services:				
Current:				
Salaries	603,869	603,869	579,508	(24,361)
Employee benefits and taxes	273,039	273,039	229,580	(43,459)
Insurance	42,500	42,500	33,697	(8,803)
Utilities	17,800	17,800	16,259	(1,541)
Repairs and maintenance	71,500	71,500	61,078	(10,422)
Other contractual services	635,000	841,014	793,003	(48,011)
Supplies	7,750	7,750	6,890	(860)
Gas, oil, diesel, etc.	93,500	93,500	88,899	(4,601)
Supplies for resale	50,000	50,000	58,190	8,190
Natural materials	75,000	75,000	56,827	(18,173)
Professional services	65,826	65,826	68,750	2,924
Miscellaneous	3,200	3,200	847	(2,353)
Capital outlay	<u>240,000</u>	<u>453,000</u>	<u>453,000</u>	<u>-</u>
Total expenditures	<u>2,178,984</u>	<u>2,597,998</u>	<u>2,446,528</u>	<u>(151,470)</u>
Excess (deficiency) of revenue over (under) expenditures	<u>(58,984)</u>	<u>(477,998)</u>	<u>(288,692)</u>	<u>189,306</u>
Other financing sources (uses)				
Transfers in	<u>65,863</u>	<u>65,863</u>	<u>-</u>	<u>(65,863)</u>
Total other financing sources (uses)	<u>65,863</u>	<u>65,863</u>	<u>-</u>	<u>(65,863)</u>
Net changes in fund balance	<u>\$ 6,879</u>	<u>\$ (412,135)</u>	<u>(288,692)</u>	<u>\$ 123,443</u>
Fund balance - beginning			<u>863,201</u>	
Fund balance - ending			<u>\$ 574,509</u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN PROPERTY TAXES RECEIVABLE
For the Fiscal Year Ended June 30, 2019

<u>Tax Levy for Year</u>	<u>Tax Rate</u>	<u>Tax Levy</u>	<u>Beginning Outstanding Taxes</u>	<u>Additions and Adjustments</u>	<u>Collections</u>	<u>Ending Outstanding Taxes</u>	<u>Outstanding Taxes Being Collected by Chancery Court</u>
2018	0.99	\$11,052,748	\$ -	\$ 11,023,053	\$10,811,134	\$ 211,919	\$ -
2017	0.99	10,827,979	237,635	-	162,294	75,341	75,341
2016	0.99	10,619,974	60,197	-	29,117	31,080	31,080
2015	0.99	10,090,162	42,166	-	10,940	31,226	31,226
2014	0.99	9,610,494	37,526	-	7,970	29,556	29,556
2013	0.99	9,546,819	25,633	-	1,736	23,897	23,897
2012	0.99	9,413,801	23,716	-	1,244	22,472	22,472
2011	0.99	9,438,136	20,813	-	487	20,326	20,326
2010	0.99	8,947,608	23,240	-	630	22,610	22,610
2009	0.99	8,655,224	29,566	-	307	29,259	29,259
2008	1.12	8,154,892	47,375	(46,827)	548	-	-
			<u>\$ 547,867</u>	<u>\$ 10,976,226</u>	<u>\$11,026,407</u>	<u>\$ 497,686</u>	<u>\$ 285,767</u>
Above balances represented as follows:							
Considered current revenue						40,236	
Allowance for uncollectible accounts						265,476	
Unavailable revenue						191,974	
						497,686	
2019 property tax assessment						12,158,928	
Total taxes receivable						\$ 12,656,614	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF ELECTRIC RATES IN FORCE
June 30, 2019

Residential Rate Schedule:

Customer charge - per delivery point per month	\$ 16.55
Energy charge - cents per kWh	0.09054

General Power Schedule:

GSA (Demand 0-5,000 kW demand)	
Customer charge - per delivery point per month	\$ 19.60
1. Less than 50kW demand and not more than 15,000 kWh	
Energy charge - cents per kWh	0.10317
2. Between 51 and 1,000 kW demand with energy usage over 15,000 kWh	
Customer charge - per delivery point per month	\$ 60.00
Demand charges - per kW per month	
0-50 kW	-
More than 50 to 1,000 kW, per kW	10.65
Energy charge - cents per kWh	
First 15,000 kWh per month	0.09575
Additional kWh per month	0.06500
3. Between 1,001 and 5,000 kW demand	
Customer charge - per delivery point per month	\$ 200.00
Demand charges - per kW per month	
0-1,000 kW, per kW	10.70
More than 1,000 to 5,000 kW, per kW	14.87
Energy charge - cents per kWh	0.06493
GSB (5,001 - 15,000 kW demand)	
Customer charge - per delivery point per month	\$ 1,500.00
Demand charges - per kW per month	
Onpeak demand - per kW per month	10.87
Max Demand - per kW per month	5.21
Offpeak Excess of Contract Demand - per kW per month	10.87
Energy charge:	
Onpeak kWh	0.08169
Offpeak kWh First 200 HUD	0.56780
Offpeak kWh Next 200 HUD	0.02220
Additional HUD	0.01879
MSB	
Customer charge - per delivery point per month	\$ 1,500.00
Demand charges - per kW per month	
Onpeak demand - per kW per month	10.24
Max Demand - per kW per month	2.26
Offpeak Excess of Contract Demand - per kW per month	10.24
Energy charge - cents per kWh	
Onpeak kWh	0.07450
Offpeak kWh First 200 HUD	0.04950
Offpeak kWh Next 200 HUD	0.01981
Additional HUD	0.01726

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF ELECTRIC RATES IN FORCE
June 30, 2019

General Power Schedule (Continued):

MSD (Demand over 25,000 kW)		
Customer charge - per delivery point per month	\$	1,500.00
Demand charges - per kW per month		
Onpeak demand - per kW per month		10.24
Max Demand - per kW per month		2.26
Offpeak Excess of Contract Demand - per kW per month		10.24
Energy charge - cents per kWh		
Onprsk kWh		0.07111
Offpeak kWh first 200 HUD		0.04610
Offpeak kWh next 200 HUD		0.01953
Additional HUD		0.01894
OUTDOOR LIGHTING		
73 LED	\$	10.78
113 LED		15.70
100 Watt H.P.S.		9.06
150 Watt H.P.S.		12.00
175 Watt M.V.		9.44
250 Watt H.P.S.		14.97
400 Watt H.P.S.		19.01
Outdoor lighting kWh		0.06707

Number of customers:

	2019	2018
Residential	17,899	16,410
Commercial and industrial	3,162	3,277
Street and athletic fields	54	54
Individually billed outdoor lighting	28	28
	<u>21,143</u>	<u>19,769</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF WATER AND SEWER RATES IN FORCE
June 30, 2019

Water Division

Inside City Limits

All customers

\$ 11.92 for first 250 cubic feet
\$ 3.25 per 100 cubic feet in excess of 250 cubic feet

Outside City Limits

All customers

\$ 17.80 for first 250 cubic feet
\$ 4.88 per 100 cubic feet in excess of 250 cubic feet

Sewer Division

Inside City Limits

All customers

\$ 11.92 for first 250 cubic feet
\$ 3.25 per 100 cubic feet in excess of 250 cubic feet

Outside City Limits

All customers

\$ 17.80 for first 250 cubic feet
\$ 4.88 per 100 cubic feet in excess of 250 cubic feet

Number of customers:

Water and Sewer

<u>2019</u>	<u>2018</u>
<u>15,266</u>	<u>14,954</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF GAS RATES IN FORCE
June 30, 2019

Residential and commercial - inside city

First 200 cubic feet	\$	3.50
All usage over 200 cubic feet, per ccf		0.80

Residential and commercial - outside city

First 200 cubic feet	\$	3.85
All usage over 200 cubic feet, per ccf		0.88

Industrial

All usage, per ccf	\$	0.80
--------------------	----	------

Preferred interruptible

All usage, per ccf	\$	0.53
--------------------	----	------

Interruptible

First 100,000 cubic feet	\$	0.43
All usage over 100,000 cubic feet, per ccf	\$	0.38

Number of customers:

	2019	2018
Residential	11,649	11,364
Commercial	841	893
Industrial	37	39
Interruptible	5	5
	<u>12,532</u>	<u>12,301</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF UNACCOUNTED FOR WATER - UNAUDITED
 JUNE 30, 2019

AWWA Free Water Audit Software: Reporting Worksheet									
WAS v5.0 American Water Works Association. Copyright © 2014. All Rights Reserved.									
Click to access definition Click to add a comment		Water Audit Report for: City of Gallatin (0000253) Reporting Year: 2019 / 7/2018 - 6/2019							
Please enter data in the white cells below. Where available, metered values should be used; if metered values are unavailable please estimate a value. Indicate your confidence in the accuracy of the input data by grading each component (n/a or 1-10) using the drop-down list to the left of the input cell. Hover the mouse over the cell to obtain a description of the grades									
All volumes to be entered as: MILLION GALLONS (US) PER YEAR									
To select the correct data grading for each input, determine the highest grade where the utility meets or exceeds all criteria for that grade and all grades below									
WATER SUPPLIED		<----- Enter grading in column 'E' and 'J' ----->				Master Meter and Supply Error Adjustments			
		Volume from own sources: + ? 9 2,739.647 MG/Yr				+ ? 9 1.00% ● ○ Value: MG/Yr			
		Water imported: + ? n/a 0.000 MG/Yr				+ ? ● ○ Value: MG/Yr			
		Water exported: + ? 9 419.138 MG/Yr				+ ? 9 1.00% ● ○ Value: MG/Yr			
WATER SUPPLIED:		2,297.534 MG/Yr				Enter negative % or value for under-registration Enter positive % or value for over-registration			
AUTHORIZED CONSUMPTION						Click here: ? for help using option buttons below			
		Billed metered: + ? 10 1,511.207 MG/Yr				Pcnt: ○ ● Value: 20.452 MG/Yr			
		Billed unmetered: + ? n/a 0.000 MG/Yr				Use buttons to select percentage of water supplied OR value			
		Unbilled metered: + ? 10 85.085 MG/Yr							
		Unbilled unmetered: + ? 9 20.452 MG/Yr							
AUTHORIZED CONSUMPTION:		1,616.744 MG/Yr				Pcnt: 0.25% ● ○ Value: MG/Yr			
WATER LOSSES (Water Supplied - Authorized Consumption)		680.789 MG/Yr				Pcnt: 1.00% ● ○ Value: MG/Yr			
Apparent Losses						Pcnt: 0.25% ● ○ Value: MG/Yr			
		Unauthorized consumption: + ? 5.744 MG/Yr							
		Default option selected for unauthorized consumption - a grading of 5 is applied but not displayed							
		Customer metering inaccuracies: + ? 9 16.124 MG/Yr							
		Systematic data handling errors: + ? 3.778 MG/Yr							
		Default option selected for Systematic data handling errors - a grading of 5 is applied but not displayed							
Apparent Losses:		25.646 MG/Yr							
Real Losses (Current Annual Real Losses or CARL)									
		Real Losses = Water Losses - Apparent Losses: ? 655.143 MG/Yr							
WATER LOSSES:		680.789 MG/Yr							
NON-REVENUE WATER									
		NON-REVENUE WATER: ? 786.326 MG/Yr							
		= Water Losses + Unbilled Metered + Unbilled Unmetered							
SYSTEM DATA									
		Length of mains: + ? 9 345.0 miles							
		Number of active AND inactive service connections: + ? 10 14,976							
		Service connection density: ? 43 conn./mile main							
		Are customer meters typically located at the curbside or property line? Yes				(length of service line, beyond the property boundary, that is the responsibility of the utility)			
		Average length of customer service line: + ? 							
		Average length of customer service line has been set to zero and a data grading score of 10 has been applied							
		Average operating pressure: + ? 6 90.0 psi							
COST DATA									
		Total annual cost of operating water system: + ? 10 \$3,989,507 \$/Year							
		Customer retail unit cost (applied to Apparent Losses): + ? 10 \$3.59 \$/100 cubic feet (ccf)							
		Variable production cost (applied to Real Losses): + ? 10 \$709.61 \$/Million gallons				☐ Use Customer Retail Unit Cost to value real losses			
WATER AUDIT DATA VALIDITY SCORE:									
		*** YOUR SCORE IS: 90 out of 100 ***							
		A weighted scale for the components of consumption and water loss is included in the calculation of the Water Audit Data Validity Score							
PRIORITY AREAS FOR ATTENTION:									
		Based on the information provided, audit accuracy can be improved by addressing the following components:							
		1: Volume from own sources							
		2: Unauthorized consumption							
		3: Systematic data handling errors							

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF UNACCOUNTED FOR WATER - UNAUDITED
 JUNE 30, 2019

AWWA Free Water Audit Software: System Attributes and Performance Indicators		WAS v5.0 American Water Works Association. Copyright © 2014. All Rights Reserved.
Water Audit Report for: City of Gallatin (0000253)		
Reporting Year: 2019 7/2018 - 6/2019		
*** YOUR WATER AUDIT DATA VALIDITY SCORE IS: 90 out of 100 ***		
System Attributes:		
	Apparent Losses:	25.646 MG/Yr
	+ Real Losses:	655.143 MG/Yr
	= Water Losses:	680.789 MG/Yr
	? Unavoidable Annual Real Losses (UARL):	135.11 MG/Yr
	Annual cost of Apparent Losses:	\$123,079
	Annual cost of Real Losses:	\$464,896
		Valued at Variable Production Cost Return to Reporting Worksheet to change this assumption
Performance Indicators:		
Financial:	Non-revenue water as percent by volume of Water Supplied:	34.2%
	Non-revenue water as percent by cost of operating system:	16.6% Real Losses valued at Variable Production Cost
Operational Efficiency:	Apparent Losses per service connection per day:	4.69 gallons/connection/day
	Real Losses per service connection per day:	119.85 gallons/connection/day
	Real Losses per length of main per day*:	N/A
	Real Losses per service connection per day per psi pressure:	1.33 gallons/connection/day/psi
	From Above, Real Losses = Current Annual Real Losses (CARL):	655.14 million gallons/year
	? Infrastructure Leakage Index (ILI) [CARL/UARL]:	4.85

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF PRINCIPAL AND INTEREST REQUIREMENTS
GENERAL OBLIGATION DEBT - CITY
June 30, 2019

Year	G.O. Refunding		G.O. Bonds		Total Requirements		
Ended	Bonds Series 2014		Series 2016				
June 30,	Principal	Interest	Principal	Interest	Principal	Interest	Total
2020	875,000	374,850	480,000	363,400	\$ 1,355,000	\$ 738,250	\$ 2,093,250
2021	910,000	339,850	485,000	344,200	1,395,000	684,050	2,079,050
2022	930,000	321,650	490,000	334,500	1,420,000	656,150	2,076,150
2023	950,000	293,750	500,000	310,000	1,450,000	603,750	2,053,750
2024	975,000	270,000	510,000	285,000	1,485,000	555,000	2,040,000
2025	1,010,000	221,250	520,000	259,500	1,530,000	480,750	2,010,750
2026	1,050,000	180,850	530,000	233,500	1,580,000	414,350	1,994,350
2027	1,090,000	138,850	540,000	207,000	1,630,000	345,850	1,975,850
2028	450,000	106,150	555,000	185,400	1,005,000	291,550	1,296,550
2029	460,000	92,650	570,000	163,200	1,030,000	255,850	1,285,850
2030	475,000	78,850	585,000	140,400	1,060,000	219,250	1,279,250
2031	490,000	64,600	600,000	117,000	1,090,000	181,600	1,271,600
2032	505,000	49,900	620,000	99,000	1,125,000	148,900	1,273,900
2033	525,000	34,119	640,000	80,400	1,165,000	114,519	1,279,519
2034	545,000	17,713	660,000	61,200	1,205,000	78,913	1,283,913
2035	-	-	680,000	41,400	680,000	41,400	721,400
2036	-	-	700,000	21,000	700,000	21,000	721,000
	<u>\$ 11,240,000</u>	<u>\$ 2,585,032</u>	<u>\$ 9,665,000</u>	<u>\$ 3,246,100</u>	<u>\$ 20,905,000</u>	<u>\$ 5,831,132</u>	<u>\$ 26,736,132</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
PROPRIETARY FUNDS
SCHEDULE OF LONG-TERM DEBT
June 30, 2019

Year Ended	Water & Sewer Department										
	Water & Sewer Rev & Tax Bond - 2011		Water & Sewer Refunding - 2014		Water & Sewer Refunding - 2015		Gas Revenue Bond - 2019		Total Requirements		
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
June 30,											
2020	\$ 420,000	\$ 222,644	\$ 265,000	\$ 136,375	\$ 1,090,000	\$ 909,887	\$ 240,000	\$ 149,816	\$ 2,015,000	\$ 1,418,722	\$ 3,433,722
2021	430,000	209,898	270,000	123,000	1,125,000	877,188	190,000	200,338	2,015,000	1,410,424	3,425,424
2022	440,000	196,848	275,000	109,375	1,160,000	843,437	200,000	190,838	2,075,000	1,340,498	3,415,498
2023	450,000	183,498	285,000	95,375	1,200,000	797,038	210,000	180,838	2,145,000	1,256,749	3,401,749
2024	460,000	169,848	315,000	80,375	1,255,000	749,037	215,000	174,538	2,245,000	1,173,798	3,418,798
2025	490,000	155,598	325,000	64,375	1,305,000	698,838	225,000	168,088	2,345,000	1,086,899	3,431,899
2026	505,000	141,304	330,000	49,650	1,350,000	646,637	230,000	161,338	2,415,000	998,929	3,413,929
2027	520,000	126,560	340,000	37,950	1,400,000	599,388	240,000	149,838	2,500,000	913,736	3,413,736
2028	535,000	110,401	355,000	27,525	1,460,000	543,387	255,000	137,838	2,605,000	819,151	3,424,151
2029	555,000	93,023	365,000	16,725	1,515,000	484,988	265,000	125,088	2,700,000	719,824	3,419,824
2030	570,000	74,599	375,000	5,625	1,575,000	424,387	280,000	111,838	2,800,000	616,449	3,416,449
2031	590,000	54,869	-	-	1,655,000	345,638	290,000	100,638	2,535,000	501,145	3,036,145
2032	615,000	33,781	-	-	1,735,000	262,887	305,000	89,038	2,655,000	385,706	3,040,706
2033	635,000	11,509	-	-	1,825,000	176,138	315,000	76,838	2,775,000	264,485	3,039,485
2034	-	-	-	-	230,000	84,887	325,000	64,238	555,000	149,125	704,125
2035	-	-	-	-	240,000	73,388	335,000	54,488	575,000	127,876	702,876
2036	-	-	-	-	255,000	61,387	345,000	44,438	600,000	105,825	705,825
2037	-	-	-	-	265,000	48,638	355,000	34,088	620,000	82,726	702,726
2038	-	-	-	-	280,000	35,387	370,000	23,438	650,000	58,825	708,825
2039	-	-	-	-	290,000	21,388	380,000	11,875	670,000	33,263	703,263
2040	-	-	-	-	300,000	10,875	-	-	300,000	10,875	310,875
	\$ 7,215,000	\$ 1,784,380	\$ 3,500,000	\$ 746,350	\$ 21,510,000	\$ 8,694,825	\$ 5,570,000	\$ 2,249,475	\$ 37,795,000	\$ 13,475,030	\$ 51,270,030

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN LONG-TERM DEBT BY INDIVIDUAL ISSUE
June 30, 2019

Description of Indebtness	Original amount of issue	Interest rate	Date of issue	Last maturity date	Outstanding 7/1/2018	Issued during period	Paid and/or matured during period	Refunded during period	Outstanding 6/30/2019
Governmental Activities									
Notes Payable									
Capital Outlay Note, 2009	\$ 3,800,000	4.00%	December 23, 2008	January 1, 2019	\$ 460,000	\$ -	\$ 460,000	\$ -	\$ -
Sumner County Note, 2013	<u>448,725</u>	0.00%	October 15, 2013	August 1, 2018	<u>89,745</u>	-	<u>89,745</u>	-	-
Total Notes Payable	<u>\$ 3,800,000</u>				<u>\$ 549,745</u>	<u>\$ -</u>	<u>\$ 549,745</u>	<u>\$ -</u>	<u>\$ -</u>
Bonds Payable									
General Obligation Improvement Bonds, Series 2014	\$ 14,185,000	2.00-5.00%	August 18, 2014	6/30/2034	\$ 12,100,000	\$ -	\$ 860,000	\$ -	\$ 11,240,000
General Obligation Bonds, Series 2016	<u>11,040,000</u>	2.00-5.00%	January 20, 2016	6/30/2036	<u>10,140,000</u>	-	<u>475,000</u>	-	<u>9,665,000</u>
Total Bonds Payable	<u>\$ 25,225,000</u>				<u>\$ 22,240,000</u>	<u>\$ -</u>	<u>\$ 1,335,000</u>	<u>\$ -</u>	<u>\$ 20,905,000</u>
Business-Type Activities									
Bonds Payable									
Water and Sewer Revenue Bonds, Series 2015	\$ 25,000,000	3.00-5.00%	May 19, 2015	June 30, 2040	\$ 22,570,000	\$ -	\$ 1,060,000	\$ -	\$ 21,510,000
Water and Sewer Revenue Bonds, Series 2014	14,185,000	2.00-5.00%	August 20, 2014	June 30, 2034	3,765,000	-	265,000	-	3,500,000
Water and Sewer Revenue Bonds, Series 2011	8,955,000	3.00-3.625%	December 28, 2011	July 1, 2032	7,620,000	-	405,000	-	7,215,000
Gas Revenue Bonds, Series 2019	<u>5,570,000</u>	3.00-5.00%	April 9, 2019	January 1, 2039	-	<u>5,570,000</u>	-	-	<u>5,570,000</u>
Total Bonds Payable	<u>\$ 53,710,000</u>				<u>\$ 33,955,000</u>	<u>\$ 5,570,000</u>	<u>\$ 1,730,000</u>	<u>\$ -</u>	<u>\$ 37,795,000</u>
Total Long-Term Debt					<u>\$ 56,744,745</u>	<u>\$ 5,570,000</u>	<u>\$ 3,614,745</u>	<u>\$ -</u>	<u>\$ 58,700,000</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Fiscal Year Ended June 30, 2019

	CFDA Number	Pass Through Agency Grant Number	Expenditures
U.S. Department of Transportation			
Passed Through the Tennessee Department of Transportation:			
Highway Planning and Construction Cluster:			
IT Signal Grant	20.205*	83LPLM-F3-110 / CM-9306(21)	197,971
Safe Routes to Schools - Rucker Stewart	20.205*	SRTS-4569(10) / 83LPLM	23,722
City Wide Sidewalk Grant	20.205*	TAP-M-9306(22) / 83LPLM	47,745
Nashville Pike Sidewalk Grant	20.205*	EM-NH-6(130) / 83LPLM-F3-122	35,764
Albert Gallatin/Hattentrack Extension	20.205*	STP-M-8300(70)	3,985,993
Total Highway Planning and Construction Cluster			4,291,195
Passed Through the Tennessee Governor's Highway Safety Office :			
Community Based Traffic Safety Enforcement and Education	20.600	Z19THS101	21,718
Alcohol Related Reconstruction and Education	20.607	Z18THS117	16,056
Total U.S. Department of Transportation			4,328,969
U.S. Department of Justice			
Law Enforcement FBI Adv Police Training	16.300	N/A	14,712
Bulletproof Vest Partnership Program	16.607	2013BUBX13070337	9,485
Mental Health Collaboration Program	16.745	2018-MO-BX-0046	8,117
Total U.S. Department of Justice			32,314
Department of Homeland Security			
Assistance to Firefighters Grant	97.044	EMW-2017-FO-01178	4,637
Safer Grant	97.083	EMW-2017-FH-00307	299,654
Total US Department of Homeland Security			304,291
U.S. Department of Housing and Urban Development			
Passed Through the Tennessee Housing Development Agency:			
Home Investment Partnership Program	14.239	HM-12-12	13,543
Total U.S. Department of HUD			13,543
Total Federal Awards			\$ 4,679,117

*Denotes Major Federal Program

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of federal awards and state financial assistance (the "Schedule") includes the federal award and state financial assistance activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2019. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF STATE FINANCIAL ASSISTANCE
For the Fiscal Year Ended June 30, 2019

	<u>State Grant Number</u>	<u>Disbursements</u>
Tennessee Arts Commission		
Arts Council - Creative Placemaking	N/A	<u>4,600</u>
Tennessee Department of Conservation		
Recycle equipment grant - rolloff	32701-03333	5,729
Recycling Equipment Grant - Baler	32701-03718	<u>45,000</u>
Total Tennessee Department of Conservation		<u>50,729</u>
 Total State Financial Assistance		 <u>\$ 55,329</u>

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of federal awards and state financial assistance (the "Schedule") includes the federal award and state financial assistance activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2019. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

See independent auditor's report.

STATISTICAL SECTION

CITY OF GALLATIN, TENNESSEE STATISTICAL SECTION DIVIDER PAGE

This part of the City of Gallatin, Tennessee's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements and note disclosures says about the City's overall financial health.

Contents:

Financial Trends

These Schedules contain trend information to help readers understand how the City's financial performance and well-being have changed over time..... 86

Revenue Capacity

These Schedules contain information to help readers assess the City's most significant local revenue source - its property taxes..... 91

Debt Capacity

These Schedules present information to help readers assess the affordability of the City's current levels of outstanding debt and the City's ability to issue additional debt in the future..... 94

Demographic and Economic Information

These Schedules offer demographic and economic indicators to help readers understand the environment within which the City's financial activities take place. 97

Operating Information

These Schedules contain service and infrastructure data to help readers understand how the information in the City's financial report relates to the services the City provides and the activities it performs..... 99

Except where noted, the information in these Schedules is derived from the City of Gallatin, Tennessee's, comprehensive annual financial reports (or financial statements where applicable) for the relevant years. The City implemented GASB 34 in 2003: Schedules presenting government-wide information include information beginning that year.

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
NET POSITION BY COMPONENT - LAST TEN FISCAL YEARS*

(Prepared using the accrual basis of accounting)

	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>	<u>2013</u>	<u>2012</u>	<u>2011</u>	<u>2010</u>
Governmental activities:										
Net investment in capital assets	\$ 89,932,089	\$ 75,402,931	\$ 67,569,997	\$ 58,836,309	\$ 54,468,094	\$ 48,317,805	\$ 44,409,934	\$ 42,147,155	\$ 46,347,565	\$ 40,679,786
Restricted	1,325,054	1,298,730	1,205,180	593,324	535,180	615,631	568,020	100,024	15,000	(171,346)
Unrestricted	<u>17,563,265</u>	<u>17,336,772</u>	<u>17,025,218</u>	<u>15,409,177</u>	<u>13,898,373</u>	<u>14,232,475</u>	<u>11,688,071</u>	<u>10,465,112</u>	<u>9,546,556</u>	<u>38,464,287</u>
Total net position	<u>\$ 108,820,408</u>	<u>\$ 94,038,433</u>	<u>\$ 85,800,395</u>	<u>\$ 74,838,810</u>	<u>\$ 68,901,647</u>	<u>\$ 63,165,911</u>	<u>\$ 56,666,025</u>	<u>\$ 52,712,291</u>	<u>\$ 55,909,121</u>	<u>\$ 78,972,727</u>
Business-type activities:										
Net investment in capital assets	\$ 136,551,453	\$ 127,605,680	\$ 120,808,485	\$ 119,097,460	\$ 112,025,506	\$ 107,506,931	\$ 103,558,594	\$ 99,420,067	\$ 99,497,736	\$ 90,944,012
Restricted for workers compensation adjustment	7,702	7,675	7,648	7,621	7,572	7,522	7,473	7,425	-	-
Unrestricted	<u>37,092,490</u>	<u>35,652,720</u>	<u>37,926,071</u>	<u>31,826,566</u>	<u>35,009,804</u>	<u>32,232,921</u>	<u>28,661,288</u>	<u>28,194,323</u>	<u>26,219,039</u>	<u>4,919,217</u>
Total net position	<u>\$ 173,651,645</u>	<u>\$ 163,266,075</u>	<u>\$ 158,742,204</u>	<u>\$ 150,931,647</u>	<u>\$ 147,042,882</u>	<u>\$ 139,747,374</u>	<u>\$ 132,227,355</u>	<u>\$ 127,621,815</u>	<u>\$ 125,716,775</u>	<u>\$ 95,863,229</u>
Primary government:										
Net investment in capital assets	\$ 226,483,542	\$ 203,008,611	\$ 188,378,482	\$ 177,933,769	\$ 166,493,600	\$ 155,824,736	\$ 147,968,528	\$ 141,567,222	\$ 145,845,301	\$ 131,623,798
Restricted	1,332,756	1,306,405	1,212,828	600,945	542,752	623,153	575,493	107,449	15,000	(171,346)
Unrestricted	<u>54,655,755</u>	<u>52,989,492</u>	<u>54,951,289</u>	<u>47,235,743</u>	<u>48,908,177</u>	<u>46,465,396</u>	<u>40,349,359</u>	<u>38,659,435</u>	<u>35,765,595</u>	<u>43,383,504</u>
Total net position	<u>\$ 282,472,053</u>	<u>\$ 257,304,508</u>	<u>\$ 244,542,599</u>	<u>\$ 225,770,457</u>	<u>\$ 215,944,529</u>	<u>\$ 202,913,285</u>	<u>\$ 188,893,380</u>	<u>\$ 180,334,106</u>	<u>\$ 181,625,896</u>	<u>\$ 174,835,956</u>

**CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
CHANGE IN NET POSITION - LAST TEN FISCAL YEARS***

(Prepared using the accrual basis of accounting)

Governmental activities:	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Revenues:										
Program revenues:										
Charges for services	\$ 8,356,873	\$ 7,863,631	\$ 7,418,973	\$ 6,069,552	\$ 5,538,642	\$ 6,526,770	\$ 4,075,988	\$ 4,813,637	\$ 5,342,165	\$ 4,462,096
Operating grants & contributions	2,616,883	1,865,673	1,275,976	1,064,123	1,234,427	1,527,429	1,109,040	948,083	854,869	703,346
Capital grants & contributions	12,308,868	6,010,371	8,921,557	4,790,834	10,285,239	3,533,738	3,975,532	1,465,557	4,020,980	2,383,773
General revenues:										
Property taxes	11,906,890	11,235,726	11,367,951	10,878,306	10,273,533	9,930,089	9,999,751	10,711,682	9,823,133	9,514,877
Sales taxes	12,145,080	11,516,561	11,064,266	10,074,289	9,330,486	8,661,499	8,014,658	7,700,686	6,874,129	6,422,853
Franchise taxes	487,103	468,690	466,766	448,730	421,534	385,802	360,650	379,020	356,845	341,828
Alcoholic beverage taxes	1,563,354	1,522,812	1,509,842	1,260,296	1,251,420	1,165,299	1,117,556	1,067,339	1,039,948	965,092
Business taxes	1,014,325	949,546	936,708	818,811	756,560	680,446	639,646	668,252	556,382	485,461
Income taxes	565,252	439,386	662,104	946,308	913,636	793,306	520,539	859,602	688,179	758,315
Miscellaneous taxes	-	-	-	-	-	-	-	-	1,572	2,075
Rental and reimbursements	-	-	-	-	-	-	-	-	25,863	29,627
Other sources	1,354,312	540,551	480,686	226,818	230,319	240,216	319,500	188,417	286,687	106,491
Unrestricted interest income	298,873	303,527	246,354	115,184	68,994	79,958	28,417	5,491	28,999	100,415
In lieu of taxes and transfers	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147	987,430	669,414	1,396,522
Total revenues	54,228,047	44,351,729	46,050,378	38,333,637	41,850,460	34,973,339	31,544,424	29,795,196	30,569,165	27,672,771
Expenses:										
General government	10,194,485	8,545,515	7,930,678	7,186,551	6,432,191	5,147,411	5,070,240	4,753,776	5,833,977	4,634,869
Public safety	15,685,627	14,939,109	14,842,150	12,701,861	12,139,618	11,778,255	11,626,014	11,090,606	10,522,520	10,583,895
Engineering	2,300,750	1,907,119	2,224,831	1,643,277	1,611,956	1,412,832	1,112,112	1,978,103	1,648,991	395,200
Environmental services	2,194,040	2,109,615	1,788,412	1,701,497	1,682,507	1,779,918	1,637,569	1,744,131	1,483,595	1,504,489
Animal control	-	-	-	-	123,665	113,487	108,023	119,396	109,535	99,965
Public works	585,600	705,505	568,139	552,190	362,748	1,163,412	1,658,029	1,215,578	572,127	351,059
Highways, streets and roadways	1,252,628	1,556,403	1,174,314	1,359,004	1,457,922	1,403,207	1,208,364	1,234,568	1,303,547	1,421,330
Vehicle maintenance	612,519	562,563	549,748	459,858	418,068	420,964	403,696	404,846	393,742	403,148
Parks and recreation	4,286,418	4,302,313	4,639,151	4,361,499	4,265,685	4,043,815	4,290,038	4,074,264	4,182,036	3,845,550
Economic development	816,593	615,343	448,174	1,622,199	6,770,860	444,972	280,227	254,355	222,988	269,588
Tourism	123,052	-	-	-	-	-	-	-	-	-
Interest on debt	702,384	765,919	923,196	808,538	653,094	481,455	433,883	472,734	484,738	487,066
Total expenses	38,754,096	36,009,404	35,088,793	32,396,474	35,918,314	28,189,728	27,828,195	27,342,357	26,757,796	23,996,159
Change in net position	\$ 15,473,951	\$ 8,342,325	\$ 10,961,585	\$ 5,937,163	\$ 5,932,146	\$ 6,783,611	\$ 3,716,229	\$ 2,452,839	\$ 3,811,369	\$ 3,676,612

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
CHANGE IN NET POSITION - LAST TEN FISCAL YEARS*

(Prepared using the accrual basis of accounting)

Business-Type activities:	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Program revenues:										
Charges for services	\$ 104,274,429	\$ 102,309,298	\$ 99,131,412	\$ 94,763,804	\$ 98,670,740	\$ 100,225,082	\$ 91,501,059	\$ 87,971,678	\$ 90,017,001	\$ 84,620,482
Capital grants & contributions	4,907,752	5,623,904	3,508,042	2,490,314	1,485,205	2,317,854	1,152,932	675,644	685,151	253,452
General revenues:										
Other sources	-	-	147	10,000	-	487	2,603	9,359	536,533	10,467
Unrestricted interest income	229,021	197,243	134,055	142,192	108,911	95,539	121,102	146,100	153,210	200,533
Total revenues	109,411,202	108,130,445	102,773,656	97,406,310	100,264,856	102,638,962	92,777,696	88,802,781	91,391,895	85,084,934
Expenses:										
Electric	70,565,030	68,464,520	68,658,346	66,077,111	65,953,465	65,344,259	63,093,670	61,686,993	60,976,208	52,252,566
Gas	13,612,534	13,482,880	12,817,606	12,360,729	14,620,277	16,443,781	12,848,397	13,002,653	15,257,278	19,064,230
Water & Sewer	13,321,850	13,115,652	11,787,952	12,582,400	10,769,977	11,170,248	10,846,942	11,256,106	11,510,424	10,386,989
In lieu of taxes - transfer	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147	987,430	669,414	1,396,522
Total expenses	99,109,648	96,698,307	94,963,099	92,660,626	92,889,389	94,407,075	88,172,156	86,933,182	88,413,324	83,100,307
Change in net position	10,301,554	11,432,138	7,810,557	4,745,684	7,375,467	8,231,887	4,605,540	1,869,599	2,978,571	1,984,627
Total change in net position	\$ 25,775,505	\$ 19,774,463	\$ 18,772,142	\$ 10,682,847	\$ 13,307,613	\$ 15,015,498	\$ 8,321,769	\$ 4,322,438	\$ 6,789,940	\$ 5,661,239

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
FUND BALANCES, GOVERNMENTAL FUNDS - LAST TEN FISCAL YEARS

(Prepared using the accrual basis of accounting)

	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Governmental Funds:										
(Pre-GASB 54)										
Unreserved:										
General fund	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 10,410,950
Special revenue funds	-	-	-	-	-	-	-	-	-	(2,955)
Capital projects funds	-	-	-	-	-	-	-	-	-	28,754,178
Permanent funds	-	-	-	-	-	-	-	-	-	374,321
Total unreserved fund balances	-	-	-	-	-	-	-	-	-	39,536,494
Reserved	-	-	-	-	-	-	-	-	-	(123,720)
(Post-GASB 54)										
Nonspendable	674,250	1,169,853	1,612,302	1,065,869	173,269	86,851	105,468	84,581	101,966	-
Restricted	1,289,029	1,366,992	1,176,985	583,621	531,907	579,606	531,995	455,722	352,817	-
Committed	156,408	156,408	284,987	209,987	205,085	205,085	226,979	184,395	173,501	-
Assigned	7,400,387	11,899,028	12,626,737	16,335,657	8,011,003	2,734,115	1,915,974	2,122,761	2,735,185	-
Unassigned	16,287,472	17,248,650	17,730,397	16,180,042	13,232,920	11,455,850	8,689,632	7,922,642	6,542,843	-
	\$ 25,807,546	\$ 31,840,931	\$ 33,431,408	\$ 34,375,176	\$ 22,154,184	\$ 15,061,507	\$ 11,470,048	\$ 10,770,101	\$ 9,906,312	\$ -

CITY OF GALLATIN, TENNESSEE
FINANCIAL TREND INFORMATION -
CHANGES IN FUND BALANCES FOR TOTAL GOVERNMENTAL FUNDS - LAST TEN FISCAL YEARS

(Prepared using the accrual basis of accounting)

	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Revenues										
Taxes	\$ 23,082,274	\$ 22,304,176	\$ 21,677,227	\$ 20,117,243	\$ 18,988,744	\$ 18,393,292	\$ 17,768,774	\$ 17,262,010	\$ 20,056,287	\$ 19,177,101
Licenses	2,146,030	2,542,185	2,187,478	1,093,853	760,459	467,638	402,533	315,602	247,346	278,110
Fines and penalties	737,197	785,160	922,423	983,427	1,051,142	2,556,501	884,878	1,479,913	2,307,129	1,424,589
Charges for services	5,476,634	4,534,678	4,302,069	3,984,098	3,739,436	3,481,559	2,849,243	2,993,059	2,787,690	2,759,398
Intergovernmental	10,628,819	6,717,563	6,616,702	10,457,840	14,007,953	8,668,804	6,696,213	5,742,786	3,325,809	2,466,644
Other	2,371,227	1,315,537	884,022	414,025	575,308	708,339	544,215	240,819	173,100	153,771
Total revenues	<u>44,442,181</u>	<u>38,199,299</u>	<u>36,589,921</u>	<u>37,050,486</u>	<u>39,123,042</u>	<u>34,276,133</u>	<u>29,145,856</u>	<u>28,034,189</u>	<u>28,897,361</u>	<u>26,259,613</u>
Expenditures										
General government	8,486,465	7,609,102	6,723,566	5,932,888	5,471,142	4,825,287	4,558,323	4,443,691	4,391,895	4,005,982
Public safety	15,118,065	14,447,340	14,122,444	12,181,199	11,707,728	11,452,818	10,770,629	10,760,468	9,960,491	9,841,580
Engineering	2,140,367	1,902,729	2,219,984	1,643,528	1,611,956	1,353,632	1,006,769	1,955,555	746,367	395,200
Environmental services	1,993,528	1,921,514	1,788,412	1,707,426	1,704,725	1,641,126	1,525,929	1,586,909	1,434,591	1,430,341
Animal control	-	-	-	-	123,665	113,487	108,023	117,017	108,815	99,965
Public works	358,438	429,269	330,388	294,737	360,112	453,374	264,185	592,211	155,426	152,145
Highways and streets	1,248,681	1,559,615	1,168,778	1,227,048	1,254,942	1,374,830	1,100,961	1,154,834	1,303,547	1,421,330
Vehicle maintenance	558,341	558,653	551,334	496,426	418,068	418,626	399,019	402,507	391,610	403,148
Parks and recreation	4,258,583	4,292,539	4,309,104	4,014,097	3,936,723	3,763,086	3,597,451	3,731,027	3,597,665	3,392,380
Economic Development Agency	813,666	743,864	445,448	1,622,169	6,769,860	444,972	280,227	254,355	211,193	234,598
Tourism	123,052	-	-	-	-	-	-	-	-	-
Other program cost	-	-	-	-	-	-	-	-	-	(291)
Debt service:										
Principal	1,795,000	1,839,745	1,754,475	1,205,000	1,385,000	860,000	835,000	800,000	775,000	760,000
Interest	808,775	862,768	892,232	572,156	245,373	403,564	431,901	458,795	484,739	487,066
Capital outlay - capital	13,586,576	5,257,893	4,926,719	7,385,042	7,610,707	4,787,847	5,188,144	1,708,556	8,825,328	7,077,681
Total expenditures	<u>51,289,537</u>	<u>41,425,031</u>	<u>39,232,884</u>	<u>38,281,716</u>	<u>42,600,001</u>	<u>31,892,649</u>	<u>30,066,561</u>	<u>27,965,925</u>	<u>32,386,667</u>	<u>29,701,125</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(6,847,356)</u>	<u>(3,225,732)</u>	<u>(2,642,963)</u>	<u>(1,231,230)</u>	<u>(3,476,959)</u>	<u>2,383,484</u>	<u>(920,705)</u>	<u>68,264</u>	<u>(3,489,306)</u>	<u>(3,441,512)</u>
Other financing sources (uses):										
Contributions	-	-	-	-	-	-	-	-	19,955	384,662
Premiums on bonds issued	-	-	-	1,163,285	884,045	-	-	-	-	-
Proceeds of long-term debt	-	-	-	11,040,000	14,185,000	-	-	-	-	-
Bond issuance costs	-	-	-	(121,358)	(155,986)	-	-	-	-	-
Repayment from debt refunding	-	-	-	-	(6,098,495)	-	-	-	-	-
Insurance proceeds	-	-	-	-	-	-	-	-	130,254	74,359
Sale of capital assets	-	-	-	-	-	-	-	-	38,194	8,404
In lieu of tax payments from utility*	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147	987,430	-	-
Operating transfers in	-	-	-	-	-	2,183,420	2,866,662	1,994,252	669,414	1,396,522
Operating transfers out	-	-	-	-	-	(2,183,420)	(2,807,596)	(1,994,252)	-	-
Total other financing sources (uses)	<u>1,610,234</u>	<u>1,635,255</u>	<u>1,699,195</u>	<u>13,722,313</u>	<u>10,360,234</u>	<u>1,448,787</u>	<u>1,442,213</u>	<u>987,430</u>	<u>857,817</u>	<u>1,863,947</u>
Net changes in fund balances	<u>\$ (5,237,122)</u>	<u>\$ (1,590,477)</u>	<u>\$ (943,768)</u>	<u>\$ 12,491,083</u>	<u>\$ 6,883,275</u>	<u>\$ 3,832,271</u>	<u>\$ 521,508</u>	<u>\$ 1,055,694</u>	<u>\$ (2,631,489)</u>	<u>\$ (1,577,565)</u>
Debt services as a percentage of non-capital expenditures	7.42%	8.08%	8.36%	6.10%	4.89%	4.89%	5.37%	5.04%	5.65%	5.83%

**CITY OF GALLATIN, TENNESSEE
REVENUE CAPACITY INFORMATION
ASSESSED VALUE AND ESTIMATED ACTUAL VALUE OF TAXABLE PROPERTY -
LAST TEN TAX YEARS**

TAX YEAR	APPRAISED VALUE			ASSESSED VALUE AS A PERCENTAGE OF ACTUAL	TOTAL DIRECT TAX RATE*
	TOTAL TAXABLE ASSESSED VALUE	TAX EXEMPT PROPERTY	ESTIMATED ACTUAL TAXABLE VALUE		
2019	\$ 1,379,876,000	\$ 35,134,216	\$ 5,345,047,430	28.17%	\$ 0.80
2018	1,085,548,889	21,926,143	3,758,217,774	29.01%	0.99
2017	1,063,378,081	23,016,954	3,688,978,706	28.39%	0.99
2016	1,030,640,007	23,958,652	3,498,839,903	28.94%	0.99
2015	970,755,253	18,537,816	3,050,696,936	31.82%	0.99
2014	973,251,111	18,306,242	3,032,204,783	31.86%	0.99
2013	955,038,384	17,806,242	2,982,691,390	32.26%	0.99
2012	953,603,939	17,321,500	3,148,310,625	30.01%	0.99
2011	904,058,176	16,983,625	3,094,122,921	29.77%	0.99
2010	887,101,556	16,697,225	3,043,499,576	29.70%	0.99

* Per \$100 of assessed valuation

Note - Property of the City is reappraised periodically. For this reason appraised value is considered equal to actual value. All information was pulled from the tax levies by the year noted.

**CITY OF GALLATIN, TENNESSEE
REVENUE CAPACITY INFORMATION
PRINCIPAL PROPERTY TAX PAYERS - CURRENT YEAR AND NINE YEARS AGO**

	2019		2010	
	ASSESSED VALUATION	PERCENT OF TOTAL VALUATION	ASSESSED VALUATION	PERCENT OF TOTAL VALUATION
Sumner Regional Medical Ctr	\$ 97,434,700	9.12%	\$ 23,251,900	3.04%
GAP INC	52,583,300	4.92%	76,300,000	9.97%
SP RGA Stoneridge LP	38,034,800	3.56%		
Wellington Farms Apt	37,142,900	3.48%	24,930,400	3.26%
Sumner Regional Medical Ctr	24,532,169	2.30%	20,946,496	2.74%
Hoeganaes Corp	13,799,815	1.29%	14,061,216	1.84%
KJPL Gallatin LLC	34,492,000	3.23%		
Vintage Foxland Harbor LLC	29,053,600	2.72%	-	
MAA BRIK LLC	25,523,900	2.39%		
Foxland Crossing LLC	24,956,300	2.34%	-	
Stoneridge Farms	-	0.00%	25,018,377	3.27%
R&R Donnelley & Sons Co	-	0.00%	9,621,874	1.26%
Kennesaw Partners LLC	-	0.00%	20,005,000	2.61%
Gap Inc & Subs Ent #90560	-	0.00%	6,209,954	0.81%
ABC Group Properties	-	0.00%	14,145,900	1.85%
Totals	\$ 377,553,484	35.35%	\$ 234,491,117	30.65%

Information was obtained from the property tax rolls for the years noted.

**CITY OF GALLATIN, TENNESSEE
REVENUE CAPACITY INFORMATION
PROPERTY TAX LEVIES AND COLLECTIONS - LAST TEN FISCAL YEARS**

FISCAL YEAR	ASSESSED VALUATION	TOTAL TAX LEVY	COLLECTED WITHIN TAX YEAR OF LEVY	PERCENT COLLECTED	COLLECTIONS IN SUBSEQUENT YEARS	TOTAL COLLECTIONS	TOTAL COLLECTIONS AS PERCENT OF TOTAL LEVY
2019	\$ 1,379,876,000	11,039,008	10,962,352	99.31%	62,482	\$ 11,024,834	99.87%
2018	1,085,548,889	10,746,934	10,482,842	96.67%	104,110	10,586,952	98.51%
2017	1,063,378,081	10,527,443	10,151,671	96.43%	892,798	11,044,469	104.91%
2016	1,030,640,007	10,203,336	9,756,265	98.31%	368,379	10,124,644	99.23%
2015	970,755,253	9,610,477	9,447,813	97.83%	257,653	9,705,466	100.99%
2014	973,251,111	9,635,186	9,401,063	96.92%	343,744	9,744,807	101.14%
2013	955,038,384	9,454,880	9,146,352	93.13%	377,995	9,524,347	100.73%
2012	953,603,939	9,440,679	8,792,522	92.60%	281,952	9,074,474	96.12%
2011	904,058,176	8,950,176	8,756,928	98.29%	594,036	9,350,964	104.48%
2010	887,101,556	8,782,305	8,794,819	101.02%	427,296	9,222,115	105.01%

Assessed valuation amount was taken from the property tax levy for the year noted.

**CITY OF GALLATIN, TENNESSEE
DEBT CAPACITY INFORMATION
RATIOS OF OUTSTANDING DEBT BY TYPE - LAST TEN FISCAL YEARS**

GOVERNMENTAL ACTIVITIES						BUSINESS-TYPE ACTIVITIES					
FISCAL YEAR	POPULATION*	PERSONAL INCOME**	GENERAL OBLIGATION BONDS	NOTES	TOTAL GOVERNMENTAL	REVENUE & TAX BONDS	NOTES	TOTAL BUSINESS- TYPE ACTIVITIES	TOTAL PRIMARY GOVERNMENT	DEBT PER CAPITA	PERCENT OF PERSONAL INCOME
2019	40,457	\$ 28,945	\$ 20,905,000	\$ -	\$ 20,905,000	\$ 37,795,000	\$ 99,334	\$ 37,894,334	\$ 58,799,334	\$ 1,453.38	5.02%
2018	37,351	26,544	22,240,000	549,745	24,629,490	33,955,000	117,448	34,072,448	58,701,938	1,571.63	5.92%
2017	35,734	26,450	23,555,000	1,074,490	26,384,235	35,785,000	316,492	36,101,492	62,485,727	1,748.64	6.61%
2016	34,473	26,708	24,805,000	1,579,235	15,763,980	37,560,000	444,889	38,004,889	53,768,869	1,559.74	5.84%
2015	33,347	26,596	13,695,000	2,068,980	9,523,725	38,890,000	413,951	39,303,951	48,827,676	1,464.23	5.51%
2014	32,307	25,534	6,985,000	2,538,725	9,935,000	32,935,000	461,503	33,396,503	43,331,503	1,341.24	5.25%
2013	31,414	22,963	7,480,000	2,455,000	10,770,000	34,215,000	620,751	34,835,751	45,605,751	1,451.77	6.32%
2012	30,278	23,465	7,960,000	2,810,000	12,345,000	35,680,000	744,902	36,424,902	48,769,902	1,610.74	6.86%
2011	30,278	23,138	8,865,000	3,480,000	12,345,000	32,666,168	993,202	33,659,370	46,004,370	1,519.40	6.57%
2010	28,677	23,138	8,865,000	3,480,000	13,105,000	32,666,168	993,202	33,659,370	46,764,370	1,630.73	7.05%

* SOURCE FOR POPULATION: US Census Bureau

** PERSONAL INCOME amounts were obtained from State estimates.

**CITY OF GALLATIN, TENNESSEE
DEBT CAPACITY INFORMATION
RATIOS OF GENERAL BONDED DEBT OUTSTANDING - LAST TEN FISCAL YEARS**

GOVERNMENTAL ACTIVITIES									
FISCAL YEAR	POPULATION	GENERAL OBLIGATION BONDS	NOTES	TOTAL GOVERNMENTAL	BUSINESS - TYPE ACIVITIES - NOTES	TOTAL PRIMARY GOVERNMENT	APPRAISED VALUE	RATIO OF GENERAL OBLIGATION DEBT TO APPRAISED VALUE	NET GENERAL OBLIGATION DEBT PER CAPITA
2019	40,457	\$ 20,905,000	\$ -	\$ 20,905,000	\$ 99,334	\$ 21,004,334	\$ 1,379,876,000	1.52%	\$ 519.18
2018	35,734	23,555,000	549,745	24,629,490	117,448	24,746,938	1,093,735,253	2.26%	692.53
2017	34,473	23,555,000	1,074,490	26,384,235	316,492	26,700,727	1,072,724,646	2.49%	774.54
2016	33,347	24,805,000	1,579,235	15,763,980	444,889	16,208,869	1,012,571,177	1.60%	486.07
2015	32,307	13,695,000	2,068,980	9,523,725	413,951	9,937,676	970,755,281	1.02%	307.60
2014	31,414	6,985,000	2,538,725	9,935,000	461,503	10,396,503	974,737,567	1.07%	330.95
2013	30,278	7,480,000	2,455,000	10,770,000	620,751	11,390,751	962,079,513	1.18%	376.21
2012	30,278	7,960,000	2,810,000	11,570,000	744,902	12,314,902	944,739,332	1.30%	406.73
2011	28,677	8,420,000	3,150,000	12,345,000	869,052	13,214,052	921,041,801	1.43%	460.79
2010	28,198	8,865,000	3,480,000	13,105,000	993,202	14,098,202	903,798,781	1.56%	499.97

* SOURCE FOR POPULATION: US Census Bureau

**CITY OF GALLATIN, TENNESSEE
DEBT CAPACITY INFORMATION
PLEDGED REVENUE COVERAGE - LAST TEN FISCAL YEARS**

FISCAL YEAR	UTILITY SERVICE CHARGES	LESS: OPERATING EXPENSES	NET REVENUE AVAILABLE FOR DEBT SERVICE	PRINCIPAL	INTEREST	TOTAL	PERCENT OF COVERAGE
2019	\$ 14,794,799	\$ 8,301,764	\$ 6,493,035	\$ 2,015,000	\$ 1,418,722	\$ 3,433,722	189.10%
2018	14,593,834	8,546,734	6,047,100	1,730,000	1,326,336	3,056,336	197.85%
2017	14,190,626	7,221,685	6,968,941	1,830,000	1,403,935	3,233,935	215.49%
2016	13,525,181	7,389,032	6,136,149	1,775,000	1,460,061	3,235,061	189.68%
2015	12,112,544	6,651,379	5,461,165	1,330,000	1,101,320	2,431,320	224.62%
2014	12,259,008	6,548,582	5,710,426	1,280,000	1,420,441	2,700,441	211.46%
2013	11,293,065	5,934,780	5,358,285	1,465,000	1,464,908	2,929,908	182.88%
2012	10,944,632	6,380,348	4,564,284	1,334,150	1,444,529	2,778,679	164.26%
2011	10,784,113	6,825,971	3,958,142	1,140,000	1,404,543	2,544,543	155.55%
2010	9,822,137	6,127,486	3,694,651	905,000	1,286,094	2,191,094	168.62%

Notes: Details regarding the City's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5 percent) applied to the increase in retail sales in the Commons shopping area since that time.

**CITY OF GALLATIN, TENNESSEE
DEMOGRAPHIC AND ECONOMIC INFORMATION
DEMOGRAPHIC AND ECONOMIC STATISTICS - LAST TEN FISCAL YEARS**

CALENDAR YEAR	CITY POPULATION*	COUNTY POPULATION*	PERSONAL INCOME**	PER CAPITA PERSONAL INCOME**	MEDIAN AGE*	COUNTY SCHOOL ENROLLMENT ***	COUNTY UNEMPLOY- MENT RATE****
2019	40,457	187,149	\$ 53,794	\$ 28,945	37.6	29,400	3.20%
2018	37,351	183,545	\$ 49,041	\$ 26,544	37.2	29,196	2.80%
2017	35,734	180,063	47,957	26,450	36.0	29,059	2.30%
2016	34,473	175,989	46,441	26,708	37.0	29,060	4.10%
2015	33,347	172,706	46,102	26,596	37.0	28,715	4.70%
2014	32,307	168,888	45,603	25,534	37.4	28,361	5.60%
2013	31,414	165,950	42,425	22,963	37.5	28,508	6.70%
2012	30,278	160,645	45,665	23,465	36.6	28,626	8.40%
2011	30,278	160,645	45,858	23,138	36.6	27,333	8.70%
2010	28,677	162,527	45,665	23,465	38.1	27,177	9.78%

* US Census Bureau

** State Estimate

*** Sumner County School Board

**** Tennessee State Department of Labor, Statistical Services

Note: Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

**CITY OF GALLATIN, TENNESSEE
DEMOGRAPHIC AND ECONOMIC INFORMATION
PRINCIPAL EMPLOYERS - CURRENT YEAR AND NINE YEARS AGO**

	2019			2010		
	<u>EMPLOYEES</u>	<u>RANK</u>	<u>PERCENTAGE OF TOTAL CITY EMPLOYMENT</u>	<u>EMPLOYEES</u>	<u>RANK</u>	<u>PERCENTAGE OF TOTAL CITY EMPLOYMENT</u>
Sumner County Schools	4,678	1	21.26%			
Gap, Inc.	2,019	2	9.18%	1,359	1	11.82%
Sumner Regional Medical Center	1,077	3	4.90%	700	2	6.09%
City of Gallatin	650	4	2.95%	N/A	N/A	N/A
Servpro Industries Inc. (HQ)	475	5	2.16%	N/A	N/A	N/A
ABC Technologies	495	6	2.25%	N/A	N/A	N/A
YAPP USA Automotive Systems	375	7	1.70%	N/A	N/A	N/A
Hoeganaes Corporation	274	8	1.25%	180	10	1.57%
NIC Global Manufacturing Solutions	250	9	1.14%	N/A	N/A	N/A
RC Tenn	225	10	1.02%	N/A	N/A	N/A
R.R. Donnelley	N/A	N/A	N/A	600	3	5.22%
Bosch Gallatin	N/A	N/A	N/A	517	4	3.48%
Fleetwood Homes	N/A	N/A	N/A	400	5	3.48%
G.F. Furniture	N/A	N/A	N/A	389	6	3.38%
Relaint Building	N/A	N/A	N/A	294	7	2.56%
Crescent Manufacturing	N/A	N/A	N/A	250	8	2.17%
Western Reserve	N/A	N/A	N/A	200	9	1.74%

Sources: Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

CITY OF GALLATIN, TENNESSEE
OPERATING INFORMATION
FULL-TIME EQUIVALENT CITY GOVERNMENT EMPLOYEES BY FUNCTION/PROGRAM, LAST TEN FISCAL YEARS

Function/Program	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
General Government:										
Mayor's Office	3	3	3	3	3	3	3	3	3	3
Planning (Combined in 2010)	9	9	7	7	6	6	0	0	0	0
Finance	6	6	6	5	5	8	8	8	8	5
City Attorney	4	4	4	3	3	3	3	3	3	3
Recorder	6	7	6	6	6	7	7	7	7	7
Personnel	4	3	3	3	2	2	1	2	2	2
Codes	15	15	12	9	10	7	13	13	14	14
Economic Development Agency	3	3	3	3	2	2	2	2	2	2
Information Technology	7	7	7	6	5	0	0	0	0	3
Public Safety:										
Police	99	99	99	98	93	94	89	88	88	90
Fire	96	98	85	68	72	72	71	71	73	58
Public Works	48	50	47	48	47	49	48	49	48	47
Leisure Services	26	29	29	31	31	31	30	30	29	29
Engineering	9	8	7	6	7	6	6	6	5	5
Public Utilities	93	95	86	88	87	82	85	86	85	84
Golf Course	0	0	0	0	0	0	0	0	0	0
Total	428	436	404	384	379	372	366	368	367	352

Sources: PERSONNEL OFFICIAL

*AUDITS PRIOR YEARS

2009 numbers include 7 PPT employees and consolidates the 7 Golf personnel under Leisure Services. It does not include 14 unfilled positions (total authorized manning 358).

2010 numbers include 6 PPT employees and combines 6 Planning and 8 Codes employees into one department. It does not include 5 unfilled positions (total authorized manning 357).

2011 numbers include 6 PPT employees and combines 3 IT and 5 Finance. It does not include 6 unfilled positions (total authorized manning 373 as of 6/30/11) (377 as of 7/1/11)

2012 numbers include 3 PPT employees. It does not include 9 unfilled positions (total authorized manning 377 as 6/30/12)

2013 numbers include 3 PPT employees. It does not include 11 unfilled positions (total authorized manning 377 as 6/30/13)

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as 6/30/16)

2017 numbers include 4 PPT employees. It does not include 15 unfilled position (total authorized manning as 6/30/17)

CITY OF GALLATIN, TENNESSEE
OPERATING INFORMATION
OPERATING INDICATORS BY FUNCTION / PROGRAM, LAST TEN FISCAL YEARS

FUNCTION / PROGRAM	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Police										
Physical arrests	3,802	3,718	3,805	3,803	3,575	3,772	4,913	4,526	4,911	5,450
Parking violations	407	308	279	458	722	420	634	450	1,087	815
Traffic violations	15,334	13,436	13,824	17,393	22,643	13,231	20,494	19,237	23,657	27,906
* Red Light Camera Citations	6,345	6,211	7,386	9,054	7,751	7,029	5,953	7,188	10,986	13,610
Fire										
Emergency responses	6,048	5,636	4,192	3,917	3,390	3,120	2,973	3,016	3,176	2,474
Fires extinguished	122	113	133	144	94	120	105	110	102	95
Inspections	2,526	2,423	1,658	1,664	1,413	829	1,194	1,170	731	810
Animal Control										
Animals Restrained	519	487	576	622	N/A	388	491	786	765	967
Highways and Streets										
Street resurfacing (miles)	5.2	6.0	3.3	4.6	6	5	6	8	3	1
Potholes repaired	315	356	314	403	324	546	122	N/A	N/A	398
Other Public Works										
Utility cuts repaired	N/A	N/A	N/A	139	138	175	142	142	171	122
Parks and Recreation										
Athletic field permits issued	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Community center admissions	270,000	270,000	270,000	240,000	240,000	230,000	230,000	230,000	230,000	220,000
Community Service										
Number of organization benefited	18	14	10	12	16	16	16	16	16	16
Number of services benefited	3	3	5	4	4	4	4	4	4	4
Environmental Services										
Tons hauled	16,432	16,171	16,142	12,224	11,413	11,376	11,588	10,145	11,384	11,420
Water										
New connections	406	425	380	316	330	272	238	212	188	183
Water main breaks	46	37	37	37	38	40	32	36	48	50
Average daily consumption (thousands of gallons)	7,110	7,316	6,052	6,171	5,865	5,944	5,948	6,246	6,705	6,794
Peak daily consumption (thousands of gallons)	10,523	8,451	7,072	8,287	7,873	9,277	9,714	10,265	8,309	7,233
Sewer										
Average daily treatment (thousands of gallons)	7,010	6,282	5,902	5,808	6,435	6,992	6,285	5,621	5,835	5,392
Electric										
Average daily consumption (thousands of kilowatt hours)	2,237	2,254	2,244	2,194	2,186	2,184	2,176	2,164	2,146	2,140
Natural Gas										
Average Daily Consumption:										
Summer -April/October (thousands of cubic feet)	4,920	4,810	4,656	4,937	5,550	5,117	4,723	4,319	4,928	4,068
Winter-November/March (thousands of cubic feet)	8,507	10,445	7,454	7,644	9,078	9,660	8,823	6,940	9,102	7,860
Golf										
Rounds Played	45,000	45,000	45,000	45,000	35,000	45,000	45,000	45,000	44,000	46,000

Sources: Various city departments

Notes: Indicators are not available for the general government function

CITY OF GALLATIN, TENNESSEE
OPERATING INFORMATION
CAPITAL ASSET STATISTICS BY FUNCTION / PROGRAM, LAST TEN FISCAL YEARS

FUNCTION / PROGRAM	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Zone offices	4	1	1	1	1	1	1	1	1	1
Patrol units	96	91	79	78	76	73	64	77	70	71
Fire										
Stations	5	4	4	4	4	4	4	4	3	3
Fire trucks	11	9	9	9	8	8	7	7	9	9
Animal Control										
Trucks	2	2	2	2	2	2	2	2	2	2
Highways and Streets										
Streets (miles)	210.0	204.0	200.0	195.6	195	195	195	194	193	186
Streetlights	3,874	3,892	3,811	3,621	3,621	3,678	3,602	3,602	3,511	3,562
Traffic signals	388	380	370	362	362	354	352	352	358	330
Sidewalks (miles)	78	67	58	47	46	45	44	42	41	37
Parks and Recreation										
Acreage	598	532	532	532	532	532	532	532	532	532
Playgrounds	5	5	5	4	4	4	4	4	4	4
Baseball/softball diamonds	23	23	23	23	23	23	23	23	23	23
Soccer/football fields	8	8	8	8	8	8	8	8	8	8
Community centers	2	2	2	2	2	2	2	2	2	2
Volleyball Courts	4	4	4	4	4	4	4	4	4	4
Basketball Courts	6	6	6	6	6	6	6	6	6	6
Picnic Shelters	13	13	13	13	13	13	14	14	13	13
Tennis Courts	6	6	6	6	6	6	6	6	6	6
Horseshoe Pits	5	5	5	9	9	9	9	9	9	9
Fishing Piers	2	2	2	2	2	2	2	2	2	2
Swimming Pools	1	1	1	1	1	1	1	1	1	1
Walking Trail (miles)	8	8	8	8	8	8	5	5	4	4
Disc Golf (holes)	18	18	18	18	18	18	18	18	18	18
Model Airplane Strip	1	1	1	1	1	1	1	1	1	1
Skate Park	1	1	1	1	1	1	1	1	1	1
Environmental Services										
Refuse Trucks	24	23	22	22	20	21	20	19	18	17
Water										
Water mains (miles)	331	352	348	345	344	343	340	323	338	336
Fire hydrants	2,113	2,075	2,025	1,986	1,920	1,902	1,893	1,888	1,888	1,850
Storage capacity (thousands of gallons)	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000
Percent of Water Loss in System	16	16	12	13	12	15	15	20	21	23
Sewer										
Sewer mains (miles)	254	344	340	236	234	233	231	220	220	217
Pump Stations	41	41	41	41	41	40	40	40	40	37
Natural Gas										
Gas lines (miles)	389	385	382	380	376	368	363	361	360	359
Golf										
Acres	136	136	136	136	136	136	136	136	136	136
Holes	18	18	18	18	18	18	18	18	18	18
Driving Range	1	1	1	1	1	1	1	1	1	1

Sources: Various city departments

Notes: No capital asset indicators are available for the general government.

INTERNAL CONTROL AND COMPLIANCE SECTION



Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With Government Auditing Standards

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2019, and the related notes to financial statements which collectively comprise the City's basic financial statements and have issued our report thereon dated December 28, 2019.

Our report includes a reference to other auditors who audited the financial statements of the Electric Department as described in our report on the City's financial statements. This report includes our consideration of the results of the other auditors testing of internal control over financial reporting and compliance and other matters that are reported on separately by those other auditors. However, this report, insofar as it relates to the results of the other auditors, is based solely on the reports of the other auditors.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Alexander Thompson Arnold, PLLC". The signature is written in a cursive, flowing style.

Jackson, Tennessee
December 28, 2019



**Independent Auditor's Report on Compliance for Each Major Federal Program
and Report on Internal Control Over Compliance
Required by the *Uniform Guidance***

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

Report on Compliance for Each Major Federal Program

We have audited the City of Gallatin, Tennessee's (the City) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2019. The City's major federal programs are identified in the summary of auditor's results section of the accompanying *Schedule of Findings and Questioned Costs*.

Management's Responsibility

Management is responsible for compliance with the requirements of federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the City's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost and Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the City's compliance.

Opinion on Each Major Federal Program

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2019.

Report on Internal Control Over Compliance

Management of the City is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Alexander Thompson Arnold, PLLC". The signature is written in a cursive, flowing style.

Jackson, Tennessee
December 28, 2019

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2019

SECTION I – Summary of Auditor's Results

Financial Statements

Type of auditor's report issued:		Unmodified
Internal control over financial reporting:		
Material weakness(es) identified?	_____ yes	_____ X _____ no
Significant deficiency(ies) identified?	_____ yes	_____ X _____ none reported
Noncompliance material to financial statements noted?	_____ yes	_____ X _____ no

Federal Awards

Internal Control over major programs:		
Material weakness(es) identified?	_____ yes	_____ X _____ no
Significant deficiency(ies) identified?	_____ yes	_____ X _____ none reported
Type of auditor's report issued on compliance for major programs:		Unmodified
Any audit findings disclosed that are required to be reported in accordance with Circular 2 CFR 200.516(a)?	_____ yes	_____ X _____ no

Identification of major programs:

<u>CFDA Number</u>	<u>Name of Federal Program or Cluster</u>
---------------------------	--

20.205	Highway Planning & Construction
--------	---------------------------------

**Dollar threshold used to distinguish between
type A and type B programs:**

\$ 750,000

Auditee qualified as low-risk auditee?

_____ yes	_____ x _____ no
-----------	------------------

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2019

SECTION II – Financial Statement Findings

There were no current year findings reported.

SECTION III – Federal Award Findings and Questioned Costs

There were no current year findings or questioned costs reported.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
For the Fiscal Year Ended June 30, 2019

Financial Statement Findings

There were no prior year findings reported.

Federal Award Findings and Questioned Costs

There were no prior year findings reported.